Long: Constellation Software (TSE: CSU)

18.4% IRR – Five-Year Hold

Current Share Price: USD $2,199 / CAD $3,034

Technology, Media, and Telecommunications (TMT)

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November 15th, 2023

CONSTELLATION SOFTWARE INC.

WESTERN INVESTMENT CLUB

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I.

Executive Summary

The Opportunity: Summary

CONSTELLATION SOFTWARE INC.

A long-term compounder, CSU has key strengths overlooked by street: buy at US$2,199; 18.4% 5-year IRR

Opportunity Set-Up

Investors & Management Alike Now Care About FCF vs. ROIC: (1) Strategic shift from focusing on return hurdles and ROIC to FCF/share growth that hinges on reinvesting vs. returning capital

Perfectly Poised for Macroeconomic Environment: (1) Carveouts prefer aligned acquirers vs. higher sale value; (2) CSU's diversified portfolio & low leverage causes resilience in down-cycles

Investment Thesis

1. No Shortage of VMS Acquisition Targets in Pipeline: CSU's historically successful VMS strategy will persist off an underestimated database size due to coverage ratio growth & TAM growth

2. Increasing Average Cheque Size: (1) Ample opportunity up-market to fulfill higher cash deployment at slightly lower return hurdles, driving overall value (2); CSU's key advantages allow it to pay less in larger deals; Falling go-forward ROIC does not impinge on multiples (3) CSU can utilize spin-outs flexibly to continue scaling its model with discipline and attractive risk/return

Street's View

Key Debates	Bear View
Can CSU Continue to Make Accretive Acquisitions with Scale?	CSU will be unable to deploy capital at the same high ROIC as it scales
Can Multiple be Sustained?	CSU's premium multiple relative to peers is unjustified and will crack

What You Need to Believe

1. **Key metric shift from ROIC + Org. Growth to FCF/share**
2. **CSU's stated goal of higher cash deployment translates to modelled 90% of last year's UFCF ('17-'19 avg = 77%)**
3. **Unlevered ROIC maintains above ~20%, despite higher share of lower-IRR large VMS acquisitions**
4. **Diversified, cash-centric model and competitive right-to-win creates evergreen deployment opportunities**

Source: Capital IQ, Company Filings

II.

Business Overview

Business Overview: Summary

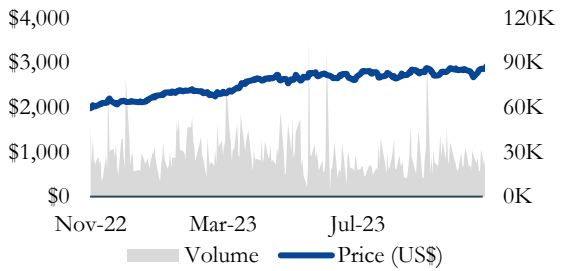
CONSTELLATION SOFTWARE INC.

Established in 1995, Constellation Software, Inc. is a leading middle market software aggregator

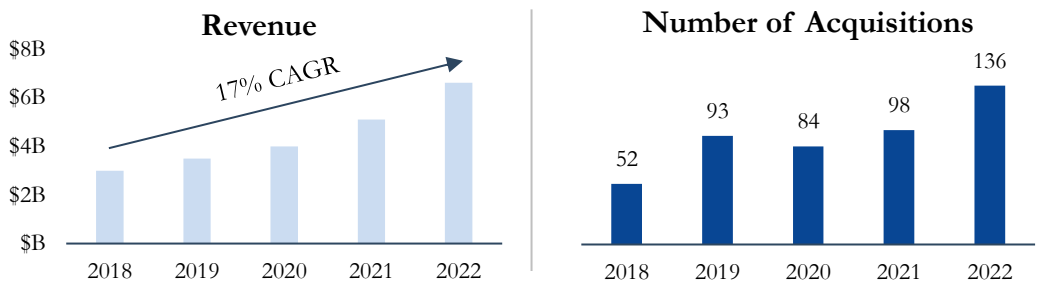
Business Overview

- Constellation Software, founded by Mark Leonard, acquires small to medium-sized vertical market software (VMS) platforms across North America and Europe through its 6 operating groups (Volaris, Harris, Jonas, Vela, Perseus, and Topicus)
- Its decentralized business model provides operating groups with full autonomy in acquiring companies, and adds value through its extensive playbook and by financial metrics for business units to achieve organic growth goals
- Cash flow generated is re-deployed into acquisitions, creating a compounding effect as CSU re-deploys and re-invests capital

52-Week Stock Chart



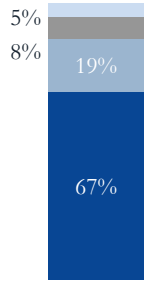
Historical Financials



Key Financials

Ticker	TSX: CSU
Share Price	US$2,198.9
Enterprise Value	$47.6B
Market Capitalization	$45.6B
NTM EV/EBITDA	19.5x

Revenue Breakdown



Hardware: Resale of third-party and customized hardware

Professional Services: Implementation and integration fees

Licenses: Fees charged for the use of software products

Maintenance: Fees for customer support and subscriptions

Source: Company Filings, Capital IQ

Business Overview: What Is Vertical Market Software?

CONSTELLATION SOFTWARE INC.

In software, there are 2 major types of offerings: horizontal & vertical software

Horizontal Software	Vertical Software
Made for **as many** end-markets as possible	Made for a **specific** industry or geography
A good example is: Excel	A good example is: Trancite Logic Systems — ***Diagramming software for police stations…***
Given nature of targeting **as many** industries as possible, TAMs tend to be much **larger**	Since the software is built for such a **niche** space, the TAMs tend to be much **smaller**
Value proposition is the **accessibility** and **feasible** usability by, in practice, "**anybody**"	Value proposition is the **specialization** and **focus** on solving specific problems faced by an industry

CSU focuses purely on accumulating companies within the VMS segment

Sources: Company Filings, Equity Research

Business Overview: CSU Structure

CONSTELLATION SOFTWARE INC.

CSU's Operating Groups autonomously acquire established, owner-operated, dominant VMS businesses

6 Key Operating Groups

Constellation Software Inc.
Mark Leonard

Jonas	HARRIS	Perseus Group (Constellation Software Inc.)	topicus.com	Vela Software	VOLARIS
• Clubs	▪ County Gov't	• Dealerships	• Automotive	• Aerospace	• Agri-food
• Construction	▪ Education	• Financing	• Government	• Finance	• Compliance
• Hospitality	▪ Healthcare	• Homebuilders	• Healthcare	• Mining	• Installation
• Resorts	▪ Local Gov't	• Pulp & Paper	• Real Estate	• Oil & Gas	• Justice
• Spa & Fitness	▪ Utilities	• Real Estate	• Retail	• Travel	• Renewable

Every Operating Group is composed of **Business Units (BU)**, each serving a vertical totaling **150 verticals** and **500 companies**; the key to CSU's success is the **decentralized structure** of the whole organization

Consolidation Model

Acquire

OG and BUs screen pipeline of targets, negotiate and structure the investment which is historically at **<1.0x EV/Sales**

Manage

Operational improvements and strategic direction to increase FCF and drive **3% organic growth** rates

Build

Capital generated is used to fuel tuck-in acquisitions and organic growth initiatives to continue the cycle

Sources: Company Filings

III.

Internal & External Analysis

Internal Analysis: Unparalleled Management

CONSTELLATION SOFTWARE INC.

President Mark Leonard's exemplary track record gives us conviction in CSU's continuous growth

Billionaire Unknown To Most

Mark Leonard

Founder, Constellation Software

"The best capital allocator in Canada"

Despite a net-worth of $2B+ and building a ~$45B business, Mark Leonard is relatively unknown to most

Mark's History & Set-Up of Constellation Software

Mentor Steve taught him to keep a high-evaluation bar

Pre-1995 VENTURES WEST → **1995: ~$25M** OMERS → **2006: CSU Goes Public & Continues Compounding**

CSU Launch

Trapeze closed – 1st M&A

IPO'd to give liquidity

Mark is often compared to Warren Buffett, with similarities in philosophies

Historical Returns & His Values

ROIC CAGR Since Inception is 29%

EBITDA CAGR Since Inception is ~25%

Mark Leonard values shareholders the most, and takes his role as a capital allocator seriously (used to only fly economy to not "free-load" off them) – He doesn't want the stock to get too expensive so people start selling, and he has shareholder interests at heart

How Mark's Adjusted His Philosophy Over Time

2015: Acknowledges that generating out-sized returns will now require more organic growth and not just discipline

2018: States that the business has grown so much, and replaces ROIC with increase in FCF per share as best metric

2021: Fear that smaller universe does not accommodate all dry powder, so executing on larger deals in different industries

Mark Leonard has stepped back from most responsibilities, focusing efforts on expanding & improving CSU markets

Source: Colossus Podcast, Company Filings

Internal Analysis: Decentralized Organizational Structure

CONSTELLATION SOFTWARE INC.

Responsibilities split to best focus resources, with much of the allocation process being "institutionalized"

High-Level Organizational Overview

Mark Leonard — **Detached** from most operational capital decisions

CSU HQ — Sets the **Hurdle Rate**

Operating Groups
6

Split into various competencies allowing for **compounded knowledge** while targeting same IRRs
(E.g. Harris focused on utilities)

Business Units
1,000+

Businesses that are **acquired** & **operated**

Established Processes Driving The Engine

M&A Individuals Involved Analysis

Operating Group Manager — **35-40 OGMs**
Autonomy to approve acquisitions <$20M

Portfolio Managers — **60-70 PMs**
Responsible for managing & initiating outreach

Full-Time M&A Professionals — **600+ FT M&A**
Ex-Corporate, primarily focused on diligence & sourcing

>50% of Time Spent on M&A

Source: Colossus Podcast, Company Filings

Internal Analysis: Why Does CSU's Accumulation Work?

CONSTELLATION SOFTWARE INC.

CSU benefits from the first-mover advantage established in the 1990s, which is still going strong

Warm Intro Approach Leads To Strong Origination Figures, With Most Diverse Breadth of Experiences

"…**There is no 'playbook.'** There are a number of best practices and presentations and advice and people to talk to. And there's a common set of measurement and all that stuff that drive the behavior and performance that Constellation is looking for…"
- Former Portfolio CFO @ Vela Software Operating Group at Constellation Software Inc.

Sourcing Process

Initiation
Most of CSU origination were ex-VMS, making warm intros the main driver of new conversations

Base Rates
5-7 internal metrics CSU does not budge on – ensures conversations re: M&A are rational

Scalability
Each deal originator completes ~500 interactions with prospective targets a year, creating run-way

~33% Database growth

Completed Acquisitions

Leveraging of Proprietary Data

Collection of ~1,000+ Separate Businesses…

Hypothesis Testing
Can quickly and cheaply test new ideas that don't require enormous systems or overhauls, with less risk of failure

Benchmarking & Sharing
Reliable probability model of "if you do X, then historically there's been a Y% probability that Z will happen"

Visibility In Future IRRs
Expected IRRs are updated quarterly, which allows CSU to gain visibility into future IRRs and allocate capital more intelligently

CSU's reputation automatically creates warm relationships, and targets are super-charged with best in-class historical data

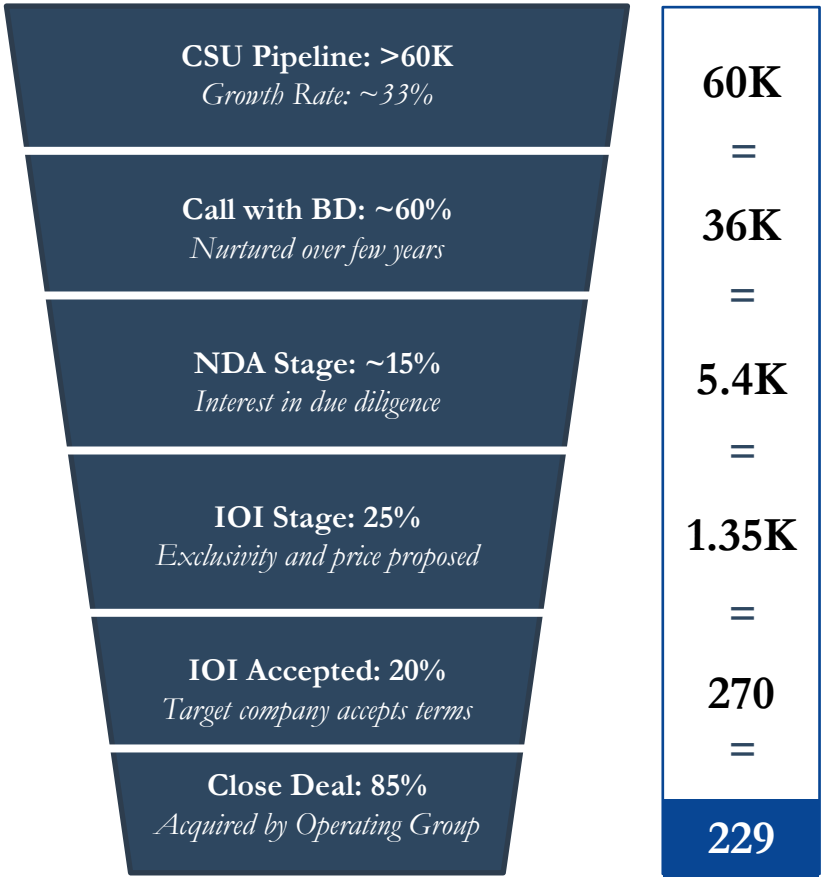
Source: Colossus Podcast, Company Filings

Internal Analysis: M&A Engine Funnel

CONSTELLATION SOFTWARE INC.

CSU's M&A engine depends on a large top-funnel and highly selective investment criteria

Acquisition Funnel



Business Criteria

Exceptional

Open to discussing opportunities

- Mid-large VMS company with >$1M EBIT
- Business is mission critical
- Revenue primarily consists of ARR
- Strong Management team
- Competitive price

Good

Open to listening to principals

- Strong market position
- Revenue is >$5M
- Hundreds or Thousands in current customer base
- Unimposing competitors
- Competitive purchase price

Case Study: Volaris' Acquisition of WebCheckout

- **Acquired in 2017**
- Higher Education Vertical Market
- <100 employees
- WebCheckout was looking for a fresh owner who could grow the company into perpetuity

Organic Growth

- Serves over 300 academic institutions
- Double digit organic growth
- Access to CSU network and practices while retaining previous culture

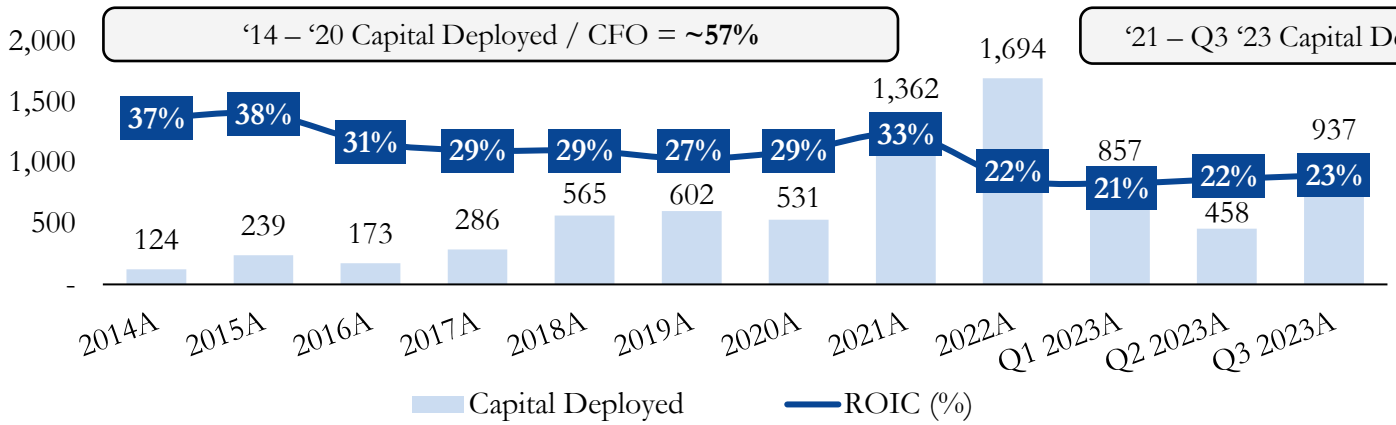
Sources: Company Website, Tegus

Internal Analysis: Capital Utilization

CONSTELLATION SOFTWARE INC.

Ideally, all returns are re-invested into M&A, which leads to the compounding model

Capital Deployed, Operating Cash Flow, & ROIC Since IPO



Although ROIC fell from ~37% to ~23% since 2014, the main driver of the business model here is the amount of capital deployed

Duration on Capital Most Important Value Driver

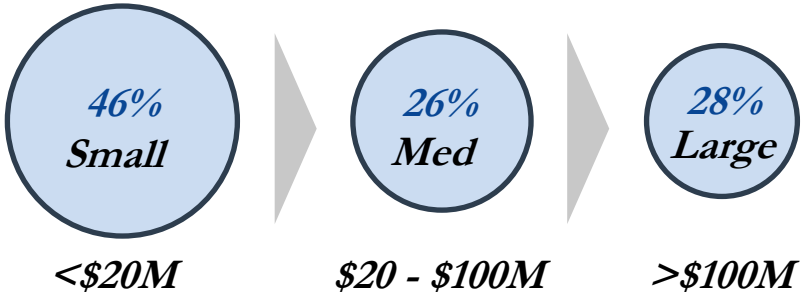
Compounded FCF/share (total company):

Driver: # of Years Capital Deployed

# of Years Capital Deployed	% Capital Deployed on Acquisitions: 0%	25%	50%	75%	100%
1	9.0%	9.0%	9.0%	9.0%	9.0%
2	15.0%	15.0%	15.0%	15.0%	15.0%
3	15.0%	16.0%	18.0%	19.0%	21.0%
4	13.0%	16.0%	19.0%	23.0%	27.0%
5	13.0%	18.0%	23.0%	29.0%	35.0%

Balance between the **time** that capital is spending recycling within the CSU system at high yields, vs. **% of capital deployed,** is key to **triangulating** future IRRs

Types of VMS Acquisitions Made



Most acquisitions are still in-line with CSU's legacy strategy of accumulating **smaller** VMS businesses, with **medium – large** acquisitions being pursued to put dry powder to work

Source: Company Filings, Equity Research

External Analysis: Why Do We Like VMS?

CONSTELLATION SOFTWARE INC.

With an expected 18.4% CAGR and $473B global TAM, VMS is an attractive sector to pursue

VMS Advantages

1 Niche and Mission Critical

CSU has 90+% retention rates across all VMS companies

Specialization of the businesses leads to high recurring revenues and sticky customer bases

2 High Switching Costs

CSU targets make-up < 1% of total customer revenues

Switching software is extremely difficult given mission critical nature of software; does not justify cost

3 Asset-Light Business Model

CSU avoids businesses with large hardware component

Lower capital expenditure requirements results in higher margins and increased scalability

VMS Verticals and Growth

VMS Growth Drivers

Increased integration of cloud-based software → **Demand for cloud-based VMS solutions**

Widespread deployment of 5G technology → **New opportunities for VMS in AI, IoT, Cloud**

+

Largest Vertical Markets

- Banking & Legal Software
- Education Software
- Healthcare Software

Source: Future Market Insights, Mordor Intelligence, Index Ventures

External Analysis: TAM for VMS Opportunities

CONSTELLATION SOFTWARE INC.

VMS industry has a long runway for growth, with CSU's piece of the pie only poised to get bigger

Long Implied Run-Way For VMS Opportunities

Jamal Baksh

CFO
Constellation Software
In 2022

"We have a database….(with) **40,000** opportunities in it. And we're constantly adding more…"

"…what we're finding is we are not aware of close to **70% of the transactions**, even though the company was in our database, and we supposedly had a relationship with the company."

Note in 2022, CSU made 143 acquisitions, implying a 0.3% (<1%) rate of closing to TAM for acquisitions

"We are focused on how we improve that coverage ratio from, let's say, 30%, but could it get to 60%? Maybe. And if it does, hopefully, we could **deploy twice as much capital." – Jamal Baksh, CFO of Constellation Software**

If CSU increases its rate of closing to TAM for acquisitions to ~1%, that would lead to 400 acquisitions

In 2017, Forrester estimated that there were more than 100,000 independent software companies globally, growing at 25%/year

While establishing VMS companies in existing industries is an up-hill battle, software servicing and focused on new geographies, industries, and sub-industries will continue to drive growth as it has never been easier to start a software company

Enough fuel remains in the tank to keep the M&A engine running in the short to mid-term

Sources: Company Filings

IV.

The Opportunity

The Opportunity: Summary

CONSTELLATION SOFTWARE INC.

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Opportunity Set-Up

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4. **Diversified, cash-centric model and competitive right-to-win creates evergreen deployment opportunities**

Source: Capital IQ, Company Filings

Thesis Set-Up: Shifting View of Intrinsic Value

CONSTELLATION SOFTWARE INC.

As CSU grows its capital base, it makes sense to shift from "ROIC + org. growth" metric to "FCF per share"

Mark Leonard

Founder & Chairman, Constellation Software

Annual Letter To Shareholders

2018

"When we were investing more than our FCF and generating attractive returns, we were comfortable using the ROIC+OGr metric as the single best measure of Constellation's performance."

"Competition for acquisitions has increased, as has our FCF, so it is unlikely that we will be able to invest all of our FCF at attractive returns over the next decade. That got me thinking about a new 'single best metric' for shareholders."

1. **Legacy ROIC + Organic Growth Metrics**
2. **Revenue & CFO per Share**
3. "…If I had to stake my reputation…I would go with the **increase in FCF** per share…"

New Metrics Utilized As Proxy For Intrinsic Value Created

Legacy	New Measures For Intrinsic Value		
ROIC + Organic Growth	ROIC + Organic Growth	Revenue & CFO Per Share	* Growth in FCF Per Share

In the future, the increase in FCF Per Share is what will drive views of CSU's intrinsic value

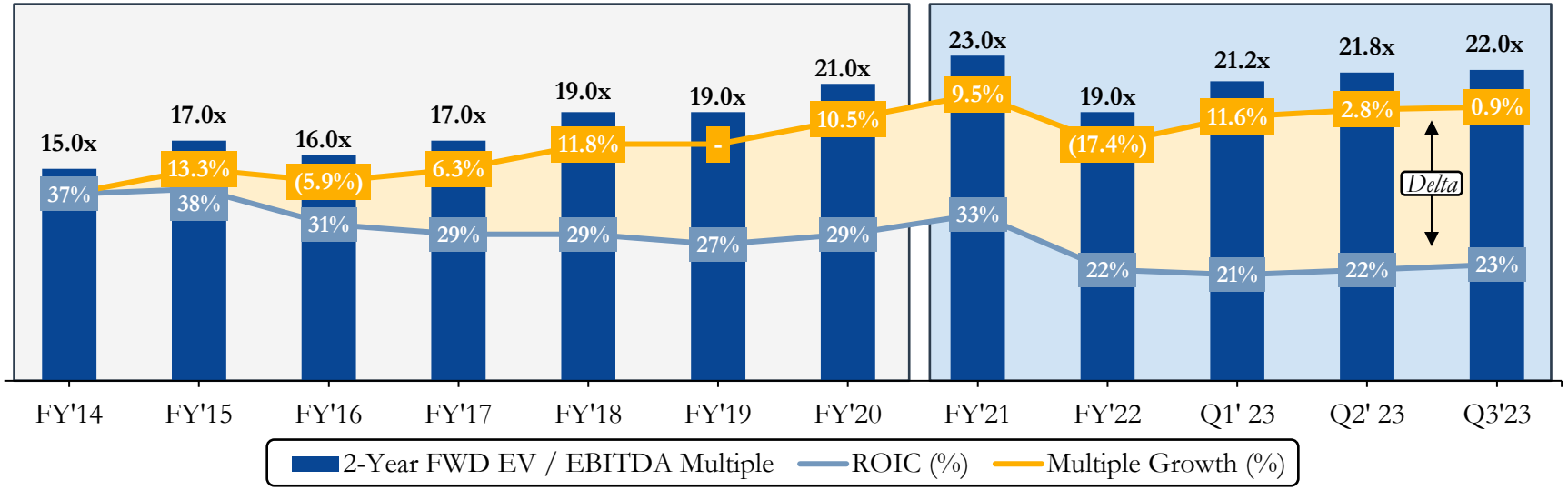
Sources: Company Filings, Investor Letters

Thesis Set-Up: Multiple Is No Longer Driven by ROIC

CONSTELLATION SOFTWARE INC.

The stock is driven by the % of Cap. Deployed / CFO, assuming CSU meets ~20% IRRs vs. pure IRRs

Return on Capital Was Cut By ~38%, However, 2-Year FWD EV / EBITDA Expanded ~46% Over Period



ROIC has fallen considerable since FY'14, with the multiple expanding; investors and the market have instead viewed the story in-tandem with **capital deployed**, and benchmarked that to the CSU story of finding "new" opportunities to deploy capital

Pre-2020

Cap. Deployed / CFO = *57.7%*

Median 2-Year FWD EBITDA CAGR = *18.3%*

Recognizing the de-acceleration, CSU began begin moving up the chain, growing EBITDA faster (larger targets) and deploying more FCF

2021 - Today

Cap. Deployed / CFO = *137.3%*

Median 2-Year FWD EBITDA CAGR = *27.84%*

Despite ROIC decreasing, CSU's multiple expanded; stock's value is no longer tied to ROIC, but rather FCF deployed

Sources: Company Filings, Equity Research

Thesis Set-Up: Macroeconomic Insulation

CONSTELLATION SOFTWARE INC.

CSU's flexible, countercyclical M&A model is equipped to continue deploying capital in current volatility

Macroeconomic Environment Update

- Interest rates increased from 3.08% (2022) to 5.33% (2023), further increasing the cost of debt and leverage capacities
- IT deal activity in the PE space decreased from 1,721 (2021) to 1,372 (2022) to 486 (Q2'23), contrasting with CSU's record investments y/y within the past 3 years

Takeaway: Volatile economy leads to more carve-outs and slash in public market software valuations – creating opportunities that CSU is well-equipped to capitalize on

Carve-Outs Drive Outsized Returns, Beat Consensus

ICE's Acquisition of Black Knight

ICE

BLACK KNIGHT optimalblue

- ICE was required by the FTC to divest Black Knight's loan origination system businesses **within 20 days of deal close**
- Paid $40M for Empower (vs. RBC's estimates of $190M)
- CSU paid $240M total for Empower/Optimal Blue, which were valued at $3.4B as part of Black Knight

→ **Sellers prioritize ensuring carve-outs end up in good long-term hands rather than price; require flexibility and speed; CSU's track record gives it a competitive right to win**

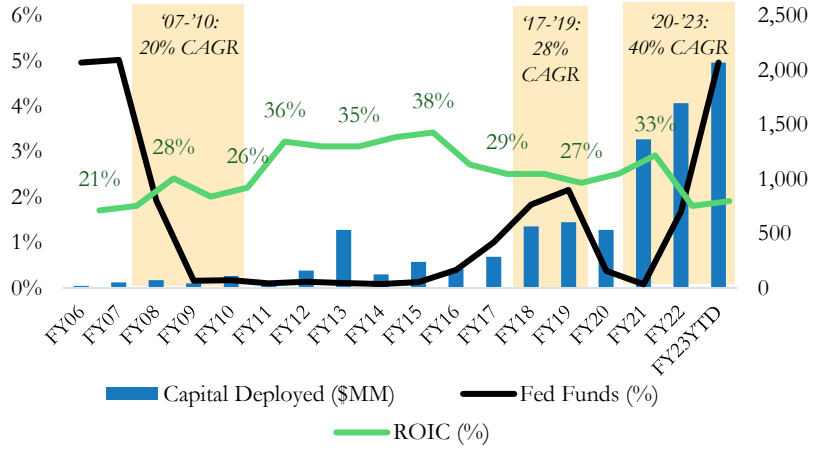
→ **Spent $850M on 10 carve-outs YTD, from $960M on 15 in 2022 (vs. 4 carveouts per year in L5Y)**

Countercyclical Business Model

- In a downturn, CSU ramps on capital deployment to take advantage of depressed valuations, and stays disciplined when valuations rise
- This allows for consistent revenue growth and FCF generation that offsets any weakness in organic growth

Takeaway: CSU is well-insulated regardless of the trajectory of interest rates, inflation, and recessionary pressures – giving us conviction that capital deployment will stay resilient

More Capital Deployed in Volatile Environments



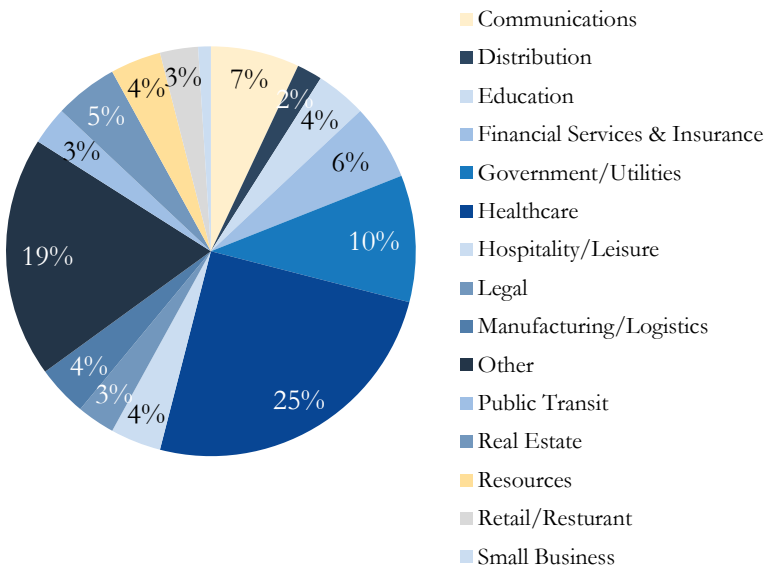
Sources: Company Filings, Equity Research, Press Releases

Thesis Set-Up: Diversification Creates Resilience

CONSTELLATION SOFTWARE INC.

CSU's diversified M&A model makes it the safe way to play vertical market software in a volatile market

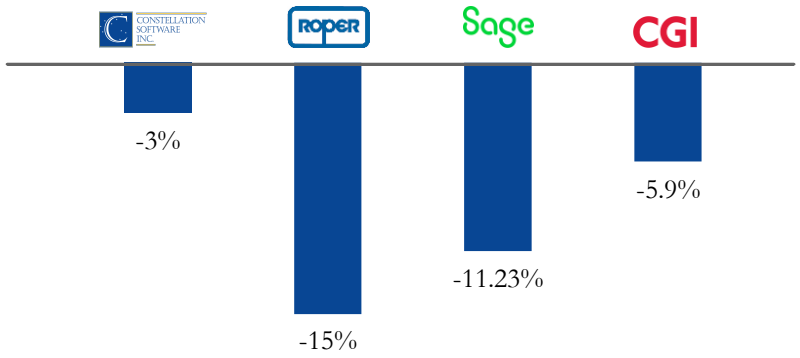
Extreme End Market Diversification…



- CSU's portfolio spans 140+ niche subverticals, with the largest exposures being healthcare & government/utilities:
- **Healthcare (25%):** Historically recession-proof industry that remains stable and critical in downturn situations
- **Government/Utilities (10%):** Sticky, multi-year, big-ticket contracts that face demand stability and growth runway

…Leads to Resilience In Down-Cycles

Organic Revenue Decline in the GFC (FY2009)



…Shielding CSU From Volatility Relative to Peers

- CSU's diversification is a natural hedge against volatility: largest historic organic revenue decline was **3% in 2009** vs. **double-digit declines** in other VMS providers
- Given this, CSU is the right way to play the VMS market in the current market; its proven track record of outperforming peers justify its higher multiple

Sources: Company Filings, Equity Research

V.

Investment Thesis

Thesis I: Past Is Recognized, But Future Is Murky

CONSTELLATION SOFTWARE INC.

Consensus agrees that CSU has been a fantastic business, but questions the sustainability of its playbook

Acknowledgement of Historical M&A Model's Success…

"Unrelenting Cash Compounding Machine: Constellation has **created** substantial shareholder value through the scalability of its decentralized M&A model and ROIC-based performance incentives…"
- RBC Equity Research
October 2, 2023

"…Constellation is exceptionally well managed, as evidenced by its **historical** ROIC, growth rate, margins, and cash flow, among other metrics…"
- BMO Equity Research
May 16, 2023

"…[we] like CSU for its **defensive** attributes (recurring revenue and cash flow)…those **defensive** attributes continues to provide profitability (valuation) support for the stock…"
- NBF Equity Research
May 16, 2023

CSU is given credit for exceptional historical performance, however…

…Uncertainty Over Future Scalability

" [2027E] $5.5B capital deployed...[implies Constellation would own] ~3% of the total VMS market …once Constellation reaches 5% of the market… there may not be the availability of M&A targets…**IRR [wouldn't] be attractive**…"
- RBC Equity Research, May 31, 2023

This is also acknowledged by Mark Leonard

"[We] made very few exceptions for large VMS acquisitions. The by-product of that discipline has been a **perennial inability** to invest **all of** the cash that we generate."

-Mark Leonard, 2021 Letter to Shareholders

We see overhangs on the stock arise from the key debate over the Law of Large Numbers problem

Sources: Company Filings

Thesis I: No Shortage of VMS Opportunities

CONSTELLATION SOFTWARE INC.

Market assumes VMS industry remains constant, however, our research says otherwise

Our Variant View on the Size of CSU's Database

How Sell-Side Thinks About Database Size

RBC: Size is ~$200B

Calculated as:

~5M average revenue
×
40,000 companies in database (Incorrect)

In highlighting concerns about future runway, they hold the current database size constant

How We Think About Database Size

Street basing database size strictly off just the number of companies in CSU's 2022 database gives us **variance**

RBC has gotten the number of companies in the database **wrong, using '22 figures**

After a 2023 expert call with a former portfolio CFO, we see a total number of **60,000** companies in the database

Variance Drivers

Gartner estimates the software industry to **4x** by 2027E, and by extension, VMS should grow

~16% CAGR just between 2021 and 2022 shows us that database additions, even now, are strong

M&A professionals at CSU mention the **constant additions** to the database

Variance to Street[1]

'27E Cons.	Street View	Actual View
'23A Database	40,000	60,000
CAGR	5%	5%
'27E Database	48,600	72,900
Avg. Sales	$5M	$5M
Database Size	$200B	$394B
% of Database Acquired	2.1%	1.2%

Given past database growth, we assume a conservative yearly 5% growth to the database, and we base our comparison off '27 to compare against street figures

"[CSU] is only doing 100 to 150 deals a year right now, right? So can they continue to do that for the next 10 years? Can it go to 200, 250, 300? I think so. It will get crowded, but it will still work."
- Former Portfolio CFO at CSU

"There are thousands of software companies in this world. And there always appears new companies every day, if you do some research."
- Former M&A Manager at CSU

Sell-side fundamentally misreads VMS runway, and has fed into the lazy narrative that CSU is getting too large

(1) TAM acquired based on capital deployed in 2027E of $4.2B and $3.9B of acquired revenues

Sources: Colossus Podcast, Company Filings

Thesis II-A: Market Is Worried About Falling ROIC

CONSTELLATION SOFTWARE INC.

Deploying cash is key to keeping the engine running, however, it comes at the cost of incremental ROIC

Cornered Resource of BUs Maintain Discipline

Does The Playbook Falter As CSU Moves Upmarket?

- ✓ **Data**: Network of BU's make size non-issue for data
- ✓ **Preferred Acquirer**: Value proposition entices larger co's
- ? **Discipline**: Major question – Can CSU compete upstream?

Capital Deployment Has Been an Issue Recently

Special Dividend in 2019 Was Peak of Allocation Concerns

CSU didn't see opportunity in VMS in the years leading up to 2019, leading to a $420M special dividend payout

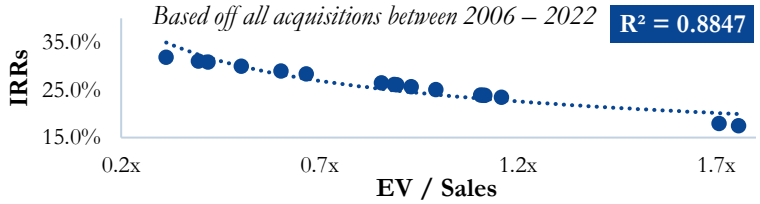
"The dividend is clearly a signal about **capital deployment**. If we thought that we could deploy this capital at high rates of return, we would have kept it." – Mark Leonard

To solve this, Mark has converted to larger deals

Since then, there has been internal push to pursue larger acquisitions, which received push-back on lower IRRs

"I have stopped arguing. **I have converted**, and with the fervour of the newly converted, I am busy demonstrating my **new-found faith**." – Mark Leonard

Paying More Money Directly Reduces Returns



"Obvious drivers of **IRR** [better than organic growth]….For instance, **revenue multiple** paid…"
– Mark Leonard, 2015 Annual Shareholder Letter

CSU's mantra of discipline in price gets shakier…

Approximate Hurdle Rates For Larger Deals

WO	Altera Digital Health	*Smaller VMS Acquisitions*
~15%	*~16%*	*20-30%*

…putting downward pressure on our incremental ROC

Sources: Colossus Podcast, Company Filings

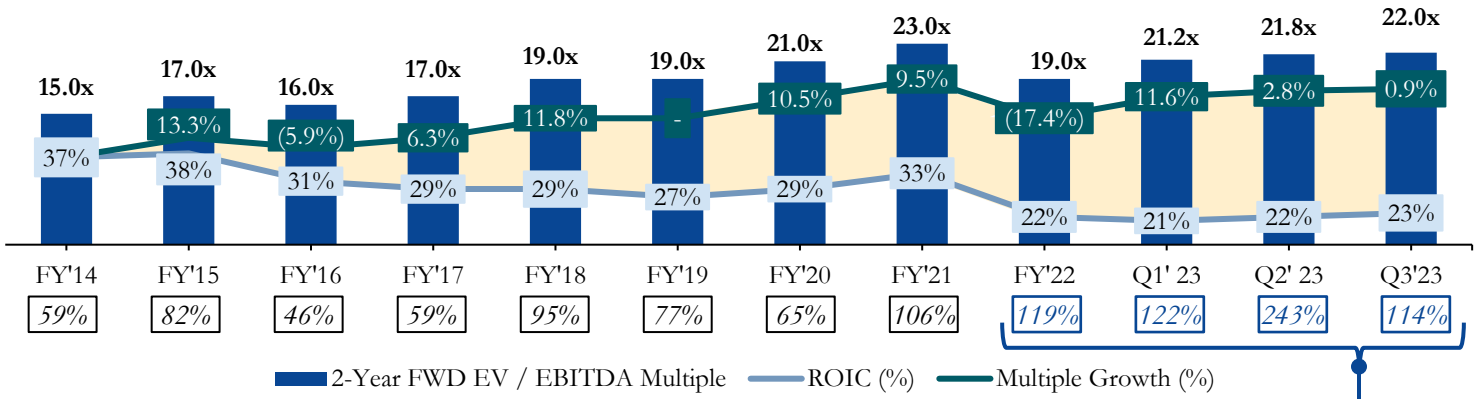
Thesis II-A: However, The Main Driver Is Capital Deployed

CONSTELLATION SOFTWARE INC.

While incremental returns fall pursuing larger deals, more cash is put to work, which is what matters for CSU

Primary Driver Behind Valuation Is The % of Capital Deployed Relative To Cash Flow Generated

Valuation is tied closer to the capital deployed



% Last Yr. UFCF Deployed

FY'14	FY'15	FY'16	FY'17	FY'18	FY'19	FY'20	FY'21	FY'22	Q1' 23	Q2' 23	Q3'23
59%	*82%*	*46%*	*59%*	*95%*	*77%*	*65%*	*106%*	*119%*	*122%*	*243%*	*114%*

Sensitivities To Incremental Returns & The % of Cash Being Deployed on Our 2028E IRRs

% Last Yr. UFCF Deployed

% ROIIC	60%	70.0%	80.0%	90.0%	100.0%
11%	1%	4%	7%	10%	13%
13%	4%	8%	12%	15%	19%
15%	8%	12%	16%	20%	25%
17%	11%	16%	21%	26%	31%
19%	14%	20%	25%	31%	37%
21%	18%	24%	30%	36%	43%

Capital deployed is more variable than ROIIC, and also results in a **greater variance** to the implied IRRs

What Do We Need To Believe?
That CSU can purchase larger companies at fair prices

We see CSU being able to deploy **90%** of the previous year's UFCF, which we feel is **conservative** but realistic, given its shift in allocation since '21 onwards as it moves up-market to target **larger** deals

Fundamentally analyzing CSU's valuation, we see that capital deployed is the actual metric driving valuation

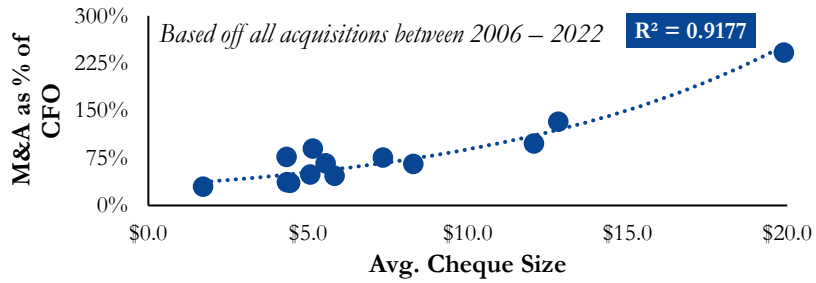
Sources: Company Filings, Equity Research

Thesis II-A: How CSU Will Deploy More Capital Effectively

CONSTELLATION SOFTWARE INC.

By pursuing larger deals, CSU deploys more cash, and by leveraging its current advantages, it pays less

Larger Acquisitions Would Increase Deployment



Larger deals help with deployment, but **how** can CSU re-shift its focus to incorporate larger deals into its strategy?

Mark Leonard on How CSU Gets Into Space

Mark In 2021 Letter to Shareholders

"Over the last five years, we were aware of about **80%** of the large VMS businesses that were sold, but their brokers only invited us to participate in **16%** of the sales processes…"

"…If we **drop our hurdle rates** for these acquisitions, I believe that competent and diligent M&A brokers will include us in more auctions…"

How CSU Maintains Discipline At Large-Scale

- The biggest question mark behind the scalability of CSU's legacy business is if it can remain disciplined on price
  - If CSU shows that it can pay "fair" prices, or show some form of advantage as it moves upstream, that proves that the model is scalable
- We believe that the model truly is scalable, and that CSU is able to gain leverage on price over competitors because:
  - **Preferred Acquirer**: Long-term holder focused on preserving the company and all shareholders
    - CSU's largest acquisition of ~700M was at an EV / Sales of ~0.8x (Altera) given the fact Altera preferred a long-term holder
  - **Spin-Outs:** CSU has used spinouts twice in the past for larger acquisitions involving Topicus & WorldOrbit (allows CSU to pay "less" given their mechanism of bridging public-to-private valuation)
- See below comparing EV / Sales of all larger deals to date:

Smaller Deals	Larger Deals[1]	Discipline Maintained
EV / Sales: 1.0x	EV / Sales: 1.3x[1]	

CSU leverages its network of ~1,000 companies, expertise, and "forever"-holder status to win in M&A processes

(1) Assumptions

Sources: Company Filings, Investor Letters

Thesis II-A: Larger Deals Create More Intrinsic Value

CONSTELLATION SOFTWARE INC.

Illustrative depiction of how larger deals will be driving more intrinsic value as more cash flow is produced

Defensibility of Cash Returns

Small

- By going larger, CSU sacrifices the 20-30% ROIC generation platform it has created, posing a key question mark to the long-term value creation

Large

- By going larger, CSU solves the historical issue it's had of struggling to deploy capital (post-2015)
- While losing out on the incremental ROIC, deploying at larger amounts generates more actual cash

Illustrative Per Dollar Available Breakdown

all figures in $MMs USD	Small VMS	Large VMS
CFO ($1 Constant)	$1.0	$1.0
M&A as a % of CFO	50.0%	90.0%
Capital Deployed	**$0.50**	**$0.90**
ROIC (%)	25.0%	17.5%
Nominal Returns	**$0.13**	**$0.16**
Feasible Deployment % of CFO	**12.5%**	**15.8%**

Key Assumptions	*# of Acquisitions*	*Avg EV*	*Purchase Multiple*	*EBITDA %*	*CFO % of EBITDA*	*FCF % of EBITDA*
Small VMS	*100*	*$7M*	*1.0x*	*30%*	*69%*	*84%*
Large VMS	*5*	*$250M*	*1.3x*	*30%*	*69%*	*84%*

Intrinsic Value Drivers Comparison Between Small vs. Large VMS Acquisitions Approach

	ROIC + Organic Growth	Incremental Revenue Per Share	Incremental CFO Per Share	Incremental Growth In FCF Per Share
Small VMS	*26.0%*	*$33.02*	*$6.88*	*$8.32*
Large VMS	*18.5%*	*$45.36*	*$9.45*	*$11.43*

37% Variance Across Board

By deploying more capital in businesses with similar economics (the bigger VMS gets, the more accretive the earnings), CSU generates more intrinsic value on the basis of FCF per share, given the increased FCF deployment

Sources: Company Filings

Thesis II-A: Moving Upstream Improves Actual FCF

CONSTELLATION SOFTWARE INC.

The blended ROIC does not fall materially, however, our FCF improves dramatically, increasing CSU value

Reiteration on FCF Focus

Mark Leonard
2018 Letter to Shareholders

"...It is **unlikely** that we will be able to invest all of our FCF at attractive returns over the next decade. That got me thinking about a new **'single best metric'** for shareholders…"

"…If I had to stake my reputation…I would go with the **increase in FCF** per share…"

Pursuing Larger Acquisitions Increases CSU Intrinsic Value

4			23E	24E	25E	26E	27E	28E	29E	30E	31E
Small VMS Approach											
% Last Yr. UFCF Deployed	40%	FCF / Share	$82.43	$93.09	$113.04	$137.20	$166.53	$202.11	$245.30	$297.72	$361.32
ROIIC	25%	ROIC	18.3%	21.1%	22.1%	23.2%	24.1%	25.0%	25.7%	26.4%	26.9%
Pursuing Large Targets											
% Last Yr. UFCF Deployed	90%	FCF / Share	$82.43	$98.77	$126.93	$163.04	$209.41	$268.98	$345.47	$443.72	$569.91
ROIIC	15%	ROIC	18.3%	20.5%	19.8%	19.4%	19.2%	18.9%	18.8%	18.6%	18.5%
FCF Per Share Variance			-	**6.1%**	**12.3%**	**18.8%**	**25.8%**	**33.1%**	**40.8%**	**49.0%**	**57.7%**
ROIC Variance			-	**(2.7%)**	**(10.4%)**	**(16.1%)**	**(20.6%)**	**(24.2%)**	**(27.1%)**	**(29.4%)**	**(31.2%)**

We conservatively assume that CSU's returns on incremental invested capital drop to **~15%** for all capital deployed, where we see significant outperformance on an **actual cash basis**

Increase In Free Cash Flow Per Share Variance

	23E	24E	25E	26E	27E	28E	29E	30E	31E
Small VMS Approach	N/A	$10.67	$19.95	$24.16	$29.32	$35.59	$43.19	$52.41	$63.61
Pursuing Large Targets	N/A	$16.34	$28.16	$36.11	$46.38	$59.56	$76.50	$98.25	$126.19
Variance		**53.2%**	**41.2%**	**49.4%**	**58.2%**	**67.4%**	**77.1%**	**87.5%**	**98.4%**

CSU's portfolio of existing 25% ROC-generating companies keeps ROIC stable at ~19%, and by pursuing larger acquisitions, albeit less accretive, CSU generates much more intrinsic value

Sources: Company Filings, Investor Letter

Thesis II-B: Spin-Outs Allow For Larger Acquisitions

CONSTELLATION SOFTWARE INC.

CSU's recent spin-outs of Topicus and Lumine demonstrate its flexible M&A approach

topicus
CVE: TOI

European-focused VMS software acquirer and organic grower; **Spun out of CSU Jan. 5, 2021**

"The creation and spinout of Topicus.com enables us to stand fully on our own feet and focus on our ambition to build a leading European Vertical Market Software company while still being part of CSU's global ecosystem."

LUMINE
CVE: LMN

Operating group focused on communications & media VMS; **Spun out of CSU Feb. 22, 2023**

"Together, our combined organizations and experience in the media & communications space are well positioned to be a positive force for employees, customers, and the industry at large."

Constellation retains significant economic and voting rights in the operating groups it spins out

CSU's Control of TOI

- ✓ Super voting share that exists as long as Constellation owns >15% of SVS (Currently owns a 50.1% stake)
- ✓ CSU's board is required to approve any acquisition with a multiple above a certain threshold
- ✓ Shared CFO (Jamal Baksh) and same earnings release
- ✓ Discretion to determine the suitability of acquisition targets and has the right to allocate opportunities

Board Seats

CSU's Control of LMN

- ✓ Super voting share that exists as long as Constellation owns >15% of SVS (Currently owns a 61.1% stake)
- ✓ CSU's board is required to approve any acquisition requiring above $100MM of capital commitments
- ✓ Shared earnings release and members of management
- ✓ Discretion to determine the suitability of acquisition targets and has the right to allocate opportunities

Board Seats

Sources: Company Filings, Capital IQ

Thesis II-B: Spin-Outs Allow For Larger Acquisitions

CONSTELLATION SOFTWARE INC.

CSU's spin-outs will allow for continued scaling of its business model

Understanding the Advantages of Spin-Outs

Continued Alignment of Incentives

Doubling the size of an operating group

At IPO (2006)	Now
▲ 16.7% Shareholder Value	▲ 0.5% Shareholder Value

Due to Constellation's current size, the long-term incentive to mid management from Constellation's shares has diminished

Doubling the size of an operating group

Manager of a sub-operating group with $35MM annual revenue that doubles the size of its business would result in doubling of the share price of the spin-out, all else equal

Spin-outs directly aligns the incentives for management with the performance of their businesses (the spin-outs)

Natural Evolution of CSU's Current Model

- **Rollover Equity Incentive Structures**
- **Further Decentralization of Allocation**
- **Greater Sub-unit Specialization**
- **Facilitation of Larger Acquisitions**
- **Lowered Portfolio Volatility**

"Something wonderful happens when you spin off a new BU. With a clean sheet of paper, the leader only takes those he leads. They cover for each other and leave all the bureaucracy behind." – Mark Leonard (Founders Podcast)

CSU has not issued equity since 2006, and can sustain this track record while remaining competitive through spin offs

Sources: Company Filings

Thesis II-B: Spin-Outs Improve Risk/Return

CONSTELLATION SOFTWARE INC.

By utilizing its strong-base of companies and reputation in spin-outs, CSU ensures it stays disciplined

Why Is Constellation The Only Business In The World That Can Utilize Spin-Offs Like This?

1 Leading Position In VMS SaaS

By owning > 1,000 VMS businesses CSU has a long run-way for potential spin-offs – LUM spin-off was with ~18 BUs, implying 1.8% of total companies owned

While finite, fly-wheel of acquisitions ensures steady base of spin-outs

2 Reputation Leads To A Premium Spin-Out

CSU being the most legitimate player in the industry adds a credence of credibility that allows CSU to maximize the realization of private-to-public valuation gaps

Public markets place a premium on CSU spin-outs

3 Unique Value Proposition Bringing Companies Public

CSU gives all the benefits of being public, while retaining benefits of being private: Liquidity premium provided with no takeover risk, and an aligned acquirer

CSU provides enticing access to public markets to acquisition targets

Mark Miller

COO Constellation Software

2022 AGM

"Usually, it's an opportunity to buy a **very significant company**, one that we couldn't justify if we were buying it for cash...They are clearly more aligned than they would have been if they sold to us for cash, and we can be **more competitive** with private equity."

"…they can feel a **sense of pride** that it's now an **independent company** and that is going to **remain public** and not subject to takeover as long as Constellation is a significant shareholder…We hope it will allow us to buy very large companies that we wouldn't otherwise get the chance to buy…"

Existing BU network, reputation amongst investors, & being a preferred acquirer lets CSU maintain discipline as it goes upmarket

Sources: Company Filings, Equity Research

Thesis II-B: Spin-Outs Improve Risk/Return

CONSTELLATION SOFTWARE INC.

Spin-outs of Lumine and Topicus sets a precedence for the spin-out of other sub-operating groups

Constellation Optionality

CSU retains significant optionality…

1. **Merger of Spun-Out Entities**
2. **Re-Acquiring Majority Interest**
3. **Full Divestiture of Spun-Out Entities**

…with little to no disruption to underlying operations

How Spin-Outs Reduce CSU's Prices Paid

WideOrbit Purchase Price Comparison	
all figures in $MMs USD	
Total CSU Consideration Paid Pre-Public Spin-Off	
(+) Cash Proceeds	$171
(+) Settlement of WideOrbit debt	$104
(+) Issuance of Special Shares	$222
	$497
WideOrbit Consideration Received @ Public Spin-Off	
FDSO Shares Issued To WideOrbit	35
Lumine Price @ First-Opening	$12
Public Value of Special Shares Issued	$424
	$699

WideOrbit Run-Rate EBITDA	**$45**
Pre-Public Spin-Off TEV / EBITDA	**11.0x**
Post-Public Spin-Off TEV / EBITDA	**15.5x**
Premium Created (%)	**41%**

Sources: Company Filings

Shareholder Optionality

USD MM except per share amounts	1 Spin-Out	2 Spin-Out
Spin Co. Revenue	$256	$512
Spin Co. EBITDA	$67	$133
EBITDA margin %	26.0%	26.0%
EV/EBITDA	25x	25x
Spin Co. Enterprise Value	$1,664	$3,328
Net Debt/EBITDA	0.50x	0.50x
Net Debt	$33	$67
Spin Co. Market Cap	$1,631	$3,261
Shares Outstanding	250	250
Spin Co. price per share	$6.52	$13.05
Spin Co. shares/CSU share	3	3
CAD/USD	1.38	1.38
Total Divident per CSU Share	$26.36	$52.72
CSU Current Price	$3,034	$3,034
% Dividend Yield	0.9%	1.7%

Assuming spin-outs are valued in line with Lumine (operating group sub-vertical), selling shareholders could choose to reap a **1-2% effective dividend yield**

Call Option Thesis: Using Leverage To Scale Processes

CONSTELLATION SOFTWARE INC.

By utilizing leverage, CSU can mimic historical 25% IRRs even on larger acquisitions

Constellation Utilizing Leverage

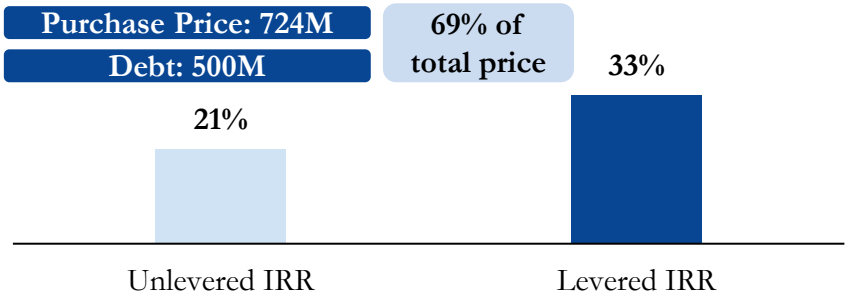
"…Financial leverage is a tool that can have a **profound impact on ROIC**… HPCs have whittled down Invested Capital as a percent of Total Capital by borrowing to make acquisitions…This has helped them generate higher ROICs…"
– Mark Leonard

CSU has kept a clean balance sheet throughout the history of the company, giving it a significant lever in pulling future returns

Returns Analysis Using Leverage

Without Debt	With Debt
Levered IRRs: 16%	Levered IRRs: 25.0%
Capital Deployed: $0.90	Capital Deployed: $0.90
Incremental Returns: $0.16	Incremental Returns: $0.23
Variance	
Levered IRRs: 42.9%	Incorporating leverage into the model brings IRRs back to ~25%, solving returns and FCF deployment issue
Capital Deployed: 83.0%	
Incremental Returns: 149.3%	

Unlevered vs. Levered IRR



Acquisition of optimalblue BLACK KNIGHT EMPOWER

Ring-Fence Debt at Lower Cost

"If covenant-free long tenured debt is available at a lower after tax cost than equity, then this kind of capital structure is attractive."
– Mark Leonard

For the acquisition of Optimal Blue / Empower, CSU secured a cost of **7.00%**, with a post-tax rate **of 5.25%, < Cost of Equity**

For the debt, they secured a ~40 year long promissory note (more loose than typical loans) – Attractive terms given CSU financial profile of sticky revenues and certainty of cash flows

Through a disciplined use of leverage, CSU would be able to deploy FCF at previous rates

Sources: Company Filings, Equity Research

VI.

Valuation

Valuation: Multiple Defensibility – What If It Cracks?

CONSTELLATION SOFTWARE INC.

In an instance where the multiple does contract & EBITDA growth does slow, there is material leeway

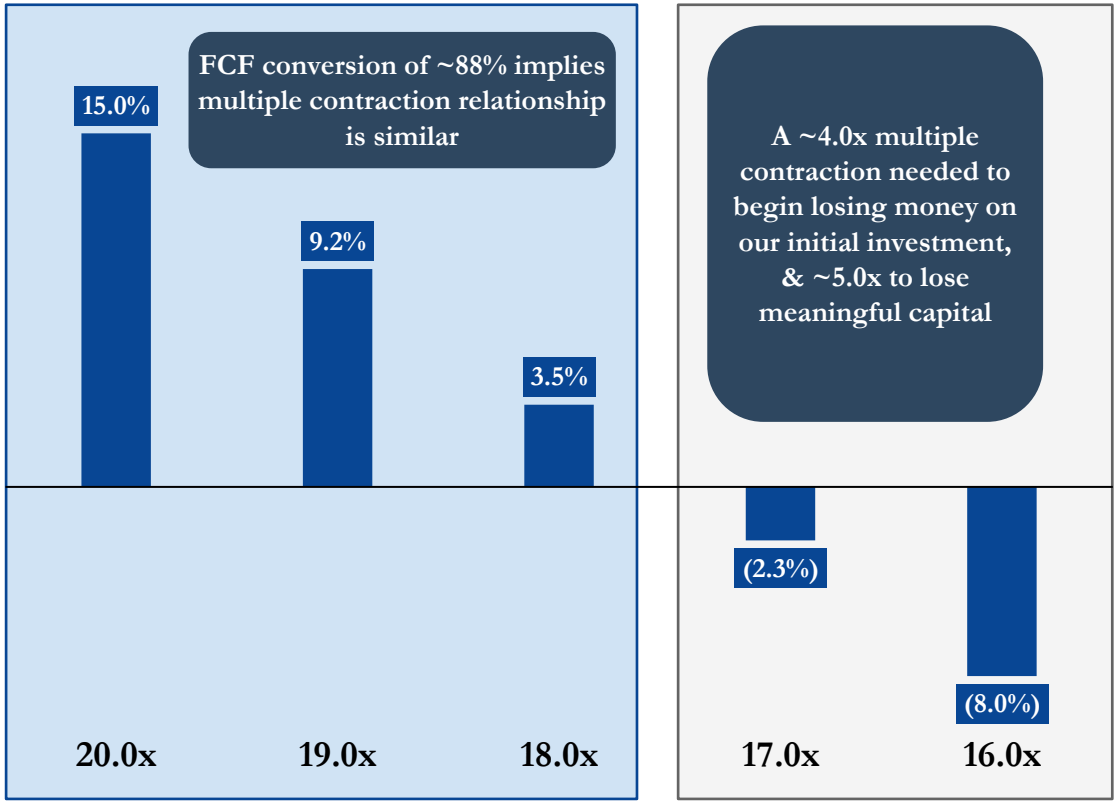
Long-Term Assumptions

Street acknowledges that CSU may seem **"pricey"**…

However, they wrap their heads around this by assessing the business on a fundamental **EBITDA** & **FCF** basis

For example, forecasting EBITDA at a **conservative 15% CAGR** for the next 3-years, shows us that to lose money, we need the multiple to contract by **~4.0x (20%)** with material losses coming at **~5.0x (25%)**

Implied IRR Using Run-Rate EBITDA at Different Multiples



Given CSU's exceptional performance since inception, street gives the business leeway;
Strong EBIDA & FCF generation abilities also protect our downside (historical CAGRs are at ~25%)

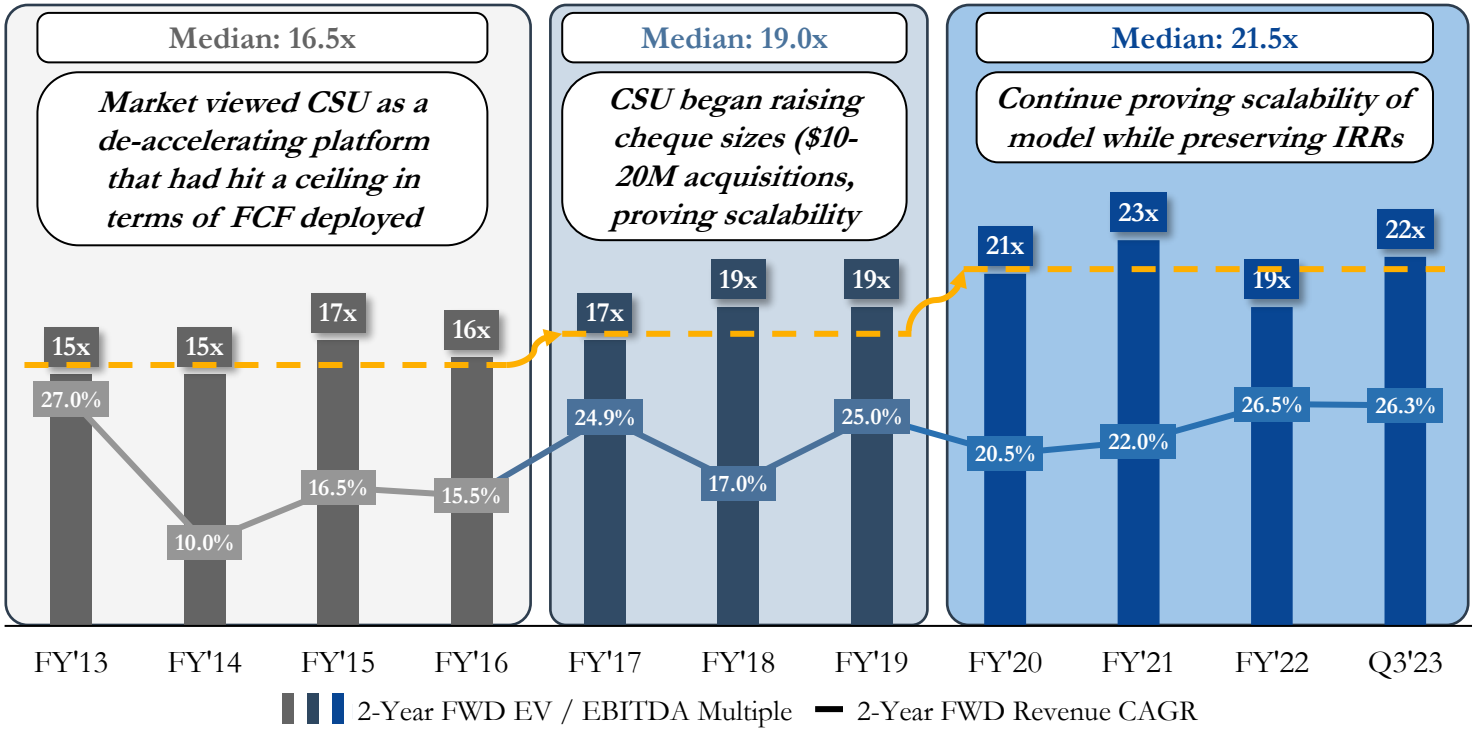
Sources: Company Filings, Equity Research

Valuation: Multiple Defensibility

CONSTELLATION SOFTWARE INC.

We predict the multiple to stay at current levels as investors realize not to bet against CSU

Historical Terminal Year, Multiple, & Growth Analysis[1]



Why The Multiple Won't Crack

Industry	Company Network	Market Sentiment
VMS is high-quality	Pre-existing relationships create fly-wheel effect	Market recognizes CSU's adaptability and gives CSU time if it slows down for a few quarters

Holding 95% ARR + 30% EBITDA margin BUs, having cornered resources, & street's strong faith gives multiple security

1) 2-Year FWD EBITDA multiples sourced from RBC Equity Research

Sources: Company Filings, Equity Research

Valuation: Fundamental Variance Vs. Sell-Side Modelling

CONSTELLATION SOFTWARE INC.

Street is forced to "incorrectly" model CSU by abridging the time horizon at which CSU can compound

Street Takes A 2-Year FWD Exit-Multiple Approach To Make It Easier To Sell The Story

"Sell-side models 2-3 years out and assigns a forward multiple (Easier story for clients)"

- Stephen Machielsen, BMO Senior Equity Research Associate

Valuation	
Exit Year	**2025**
Exit EBITDA	$4,161
NTM EBITDA Multiple	20x
Implied Equity Value	**$67,573**
Implied Share Price ($USD)	$3,187
Implied Upside	**45.0%**
IRR	**20.4%**

IRR (%): 20.4%

MoM (x): 1.45x

Consensus **forced** to peg share price & valuation to make story easier to digest for institutional clients just learning about the name

They Admit The Best Way To Model The Business is Taking a Long-Term ROIC View

"If I were to do it honestly, I would project longer term and drive the model from sensitizing ROIC (larger and smaller acquisitions)"

- Stephen Machielsen, BMO Senior Equity Research Associate

Valuation	
Exit Year	**2028**
Exit EBITDA	$8,730
NTM EBITDA Multiple	20x
Implied Equity Value	**$108,269**
Implied Share Price ($USD)	$5,107
Implied Upside	**132.3%**
IRR	**18.4%**

IRR (%): 18.4%

MoM (x): 2.33x

As a **compounder**, the intrinsic value lies in performance at least **~5 years out** – We see significant variance modelling CSU this way

By taking a fundamental long-term view on a compounder, we see significant variance to street that they concede is more intellectually honest

Sources: One-on-One Call With BMO Equity Research

Valuation: Intrinsic Valuation

CONSTELLATION SOFTWARE INC.

Our analysis includes five years of projection period cashflows and an exit based on 2028's NTM EBITDA

Output

DCF		2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Revenue		**$3,490.0**	**$3,969.0**	**$5,106.0**	**$6,622.0**	**$8,036.0**	**$10,634.9**	**$13,568.0**	**$17,336.4**	**$22,176.0**	**$28,391.1**	**$36,373.1**	**$46,624.3**	**$59,789.9**
EBITDA		$934.0	$1,233.0	$1,512.0	$1,698.0	$2,010.0	$2,552.4	$3,256.3	$4,160.7	$5,322.2	$6,813.9	$8,729.6	$11,189.8	$14,349.6
EBIT		$511.0	$724.0	$873.0	$881.0	$1,018.2	$1,473.2	$1,880.7	$2,402.9	$3,073.5	$3,934.8	$5,040.9	$6,461.5	$8,285.9
(-) Normalized Tax Expense	*25%*	($127.8)	($181.0)	($218.3)	($220.3)	($254.6)	($368.3)	($470.2)	($600.7)	($768.4)	($983.7)	($1,260.2)	($1,615.4)	($2,071.5)
NOPAT		$383.3	$543.0	$654.8	$660.8	$763.7	$1,104.9	$1,410.5	$1,802.2	$2,305.1	$2,951.1	$3,780.7	$4,846.1	$6,214.4
(+) Cash from NWC		($28.0)	$118.0	$46.0	($62.0)	$31.0	($36.1)	($38.1)	($41.4)	($45.7)	($51.2)	($58.1)	($67.0)	($78.4)
(-) Capex		($34.0)	($25.0)	($29.0)	($41.0)	($39.0)	($54.1)	($57.1)	($62.2)	($68.6)	($76.7)	($87.2)	($100.5)	($117.6)
(+) D&A		$423.0	$508.0	$639.0	$819.0	$991.8	$1,079.2	$1,375.6	$1,757.9	$2,248.7	$2,879.1	$3,688.6	$4,728.3	$6,063.7
UFCF		$744.3	$1,144.0	$1,310.8	$1,376.8	$1,747.4	$2,093.9	$2,690.9	$3,456.4	$4,439.6	$5,702.3	$7,324.0	$9,407.0	$12,082.1
UFCF Margin %		*21%*	*29%*	*26%*	*21%*	*22%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*

Exit Scenarios (Holding Period)	**Years: 1**	**Years: 2**	**Years: 3**	**Years: 4**	**Years: 5**	**Years: 6**	**Years: 7**
PV of Cashflows Accumulated	$1,870	$4,015	$6,475	$9,296	$12,532	$16,243	$20,498
PV of Exit Value	$58,149	$66,338	$75,765	$86,607	$99,068	$113,382	$129,820
Total Exit EV	$60,018	$70,353	$82,240	$95,903	$111,600	$129,625	$150,318

Drivers

	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
% UFCF Deployed	67.9%	42.4%	92.8%	113.7%	96.4%	75.1%	70.0%	70.1%	70.1%	70.1%	70.1%	70.1%	70.1%
% Last Yr. UFCF Deployed	77.4%	65.2%	106.4%	119.5%	122.4%	90.0%	90.0%	90.0%	90.0%	90.0%	90.0%	90.0%	90.0%
Invested Capital: UFCF Conversion	*57.9%*	*79.5%*	*61.7%*	*42.1%*	*41.1%*	*38.9%*	*37.8%*	*37.3%*	*36.9%*	*36.6%*	*36.3%*	*36.2%*	*36.0%*
ROIIC	10.3%	16.1%	8.9%	10.1%	8.8%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
ROIC	29.8%	37.8%	30.8%	20.1%	18.3%	20.5%	19.8%	19.4%	19.2%	18.9%	18.8%	18.6%	18.5%
3-Year Rolling Avg.	31.1%	33.0%	32.8%	29.6%	23.1%	19.7%	19.6%	19.9%	19.5%	19.2%	19.0%	18.8%	18.6%

We assume a 15% ROIIC (~20% ROIC) deploying at 90% of Last Year UFCF to arrive at exit EBITDA figures

Valuation: Intrinsic Valuation

CONSTELLATION SOFTWARE INC.

Our valuation of CSU hinges on a 12% hurdle rate and exiting off 2028 NTM EBITDA at a 20x multiple

Valuation	
Hurdle	12%
PV Projection Period UFCF	$12,532
Exit Year	2028
Exit EBITDA	$8,730
NTM EBITDA Multiple	20x
PV Terminal EV	$99,068
Implied Enterprise Value	$111,600
(+) Cash	$1,076
(-) Debt	($3,353)
(-) NCI	($1,053)
Implied Equity Value	**$108,269**
FDSO (MM)	21.2
Implied Share Price ($USD)	$5,107
Current Share price ($CAD)	$3,034
USD:CAD	1.38
Current Share price ($USD)	$2,199
Implied Upside	**132.3%**
IRR	**18.4%**

We believe that investors should set a conservative 12% hurdle rate for investing in CSU

We assume an exit off 20x NTM EBITDA in 2028

CSU's current valuation presents a compelling investment opportunity with ~18% IRR over five years, driven by increased UFCF deployment in exchange for lower ROIC

As a five-year holding, CSU's continuation of EBITDA growth driven by high UFCF deployment towards acquisitions can support an upside of ~130%

Valuation: Return Sensitivities

CONSTELLATION SOFTWARE INC.

The key variables to our analysis includes UFCF deployment rate, holding period, and exit multiple

Sensitivity - IRRs

IRR		Last Yr. UFCF Deployed (%)				
		80%	85.0%	90.0%	95.0%	100.0%
Exit NTM Multiple	16x	11%	12%	14%	15%	17%
	18x	13%	15%	16%	18%	19%
	20x	15%	17%	18%	20%	22%
	22x	17%	19%	20%	22%	24%
	24x	19%	21%	22%	24%	26%

Returns are protected even as multiple contracts and can be boosted by higher UFCF deployment

Exit ROIC		Last Yr. UFCF Deployed (%)				
		80.0%	85.0%	90.0%	95.0%	100.0%
ROIIC	11%	16%	16%	15%	15%	15%
	13%	17%	17%	17%	17%	17%
	15%	19%	19%	19%	19%	19%
	17%	21%	21%	21%	21%	21%
	19%	22%	23%	23%	23%	23%

ROIIC and UFCF deployment rate both drive ROIC to a small extent

IRR		Holding Term (Years)				
		2	3	4	5	6
Exit NTM Multiple	16x	8%	11%	13%	14%	14%
	18x	14%	15%	16%	16%	16%
	20x	20%	19%	19%	18%	18%
	22x	26%	23%	21%	20%	20%
	24x	32%	27%	24%	22%	21%

Returns are attractive even at longer holding periods and as multiples contract

IRR		Last Yr. UFCF Deployed (%)				
		80.0%	85.0%	90.0%	95.0%	100.0%
ROIIC	11%	8%	9%	11%	12%	13%
	13%	12%	13%	14%	16%	17%
	15%	15%	17%	18%	20%	22%
	17%	19%	20%	22%	24%	26%
	19%	22%	24%	26%	28%	30%

IRRs are mainly driven by UFCF deployed rate vs. ROIC/ROIIC

UFCF deployment is the major driver of IRR; multiple contraction has an outsized impact on IRRs for short holding periods, but we are taking a long-term view

VII.

Risks

Risks: How Can We Lose Money On CSU?

CONSTELLATION SOFTWARE INC.

Key man risk, heightened competition, and organic growth concerns can pose as downward stock pressure

	Bear View	Our View
Key Man Risk	▪ CSU's operational stability and strategy hinges on Mark Leonard, with leadership changes posing potential disruption risks ▪ Dependence on key personnel could threaten CSU's future if it fails to develop a robust succession plan to ensure continuity	▪ CSU's decentralized model dilutes key man risk by distributing decision-making across subsidiary managers ▪ CSU's ROIC-based incentives and clear. aggregated M&A expertise playbook cultivates strategic continuity
Competitive Risk	▪ CSU used to be the only VMS consolidator, which caused its stellar performance ▪ Now, copycats like Valsoft, Arcadea, and other PE-funded companies (e.g. Vista) are replicating CSU's strategy; this competition will lead to higher prices paid	▪ CSU has unparalleled access to capital, a better playbook based on extensive experience, and stronger relationships with 40K+ businesses ▪ CSU's pivot to larger deals and its record $2.1B YTD capital use gives us conviction that it will remain competitive
Slowdown in Organic Growth	▪ Organic growth could slow to LSD/flat figures amidst economic downturn and increased SaaS competition ▪ Increased requirement for R&D and advertising expenses may depress margins	▪ CSU's portfolio diversification mitigates significant slowdowns in organic revenue ▪ High VMS industry growth ensures players don't have to ruthlessly compete for market share; lots of white space

Source: Company Filings, Equity Research

VIII.

Catalysts

Catalysts: Tying It All Together In The Long-Run

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Factors that give us conviction over the short, medium, and long-term in CSU's ability to allocate capital

Short-Term — **CSU Investment Drivers** — *Long-Term*

← **Quarterly** — **1-3 Years** — **4-5 Years** — **5-10 Years** — **10+ Years** →

EBITDA Growth

On quarterly basis, EBITDA growth and capital deployment trends will drive market reactions to earning results reported

Valuation Multiple

EBITDA growth also affects multiples given consolidator status, with intrinsic value proxies such as ROIC + Organic growth & FCF per share

Industry Cycle

The industry / sector still being in the "growth" phase with CSU's target universe growing keeps the M&A engine running and returns flowing

Return on Reinvested Capital

As capital is cycled through the business, the compounding at a set-ROIC determines longer-term shareholder returns

People & Culture

Maintaining decentralized culture & organizational make-up whilst growing ensures capital allocation can mirror historical rates

Strong business fundamentals with industry run-way and internal capital allocation returns driven by organizational structure gives us faith in long-term prospects of CSU

As Warren Buffett Says…

CONSTELLATION SOFTWARE INC.

Don't just take it from us, but also a billionaire

"It's better to buy a wonderful company at a fair price than a fair company at a wonderful price."

-Warren Buffett

Long: Constellation Software (TSE: CSU)

18.4% IRR – Five-Year Hold

Current Share Price: USD $2,199 / CAD $3,034

Technology, Media, and Telecommunications (TMT)

Adrian Gaymes, Aaron Zhang, Alyssa Choi, Bryan Guan, Jacob Ke, Victoria Long

Researchers: Junaid Rana, Cecilia Luo, Hardik Mahajan, Owen Hu, Owen Sheridan, William Lee, William Lin, Zane Balkissoon, Zoey Hou

November 15th, 2023

CONSTELLATION SOFTWARE INC.

WESTERN INVESTMENT CLUB

IX.

Appendix

Appendix: What Is Vertical Market Software?

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In software, there are 2 major types of offerings: horizontal & vertical software

Horizontal Software	Vertical Software
Made for **as many** end-markets as possible	Made for a **specific** industry or geography
A good example is: Excel	A good example is: Trancite Logic Systems — ***Diagramming software for police stations…***
Given nature of targeting **as many** industries as possible, TAMs tend to be much **larger**	Since the software is built for such a **niche** space, the TAMs tend to be much **smaller**
Value proposition is the **accessibility** and **feasible** usability by, in practice, "**anybody**"	Value proposition is the **specialization** and **focus** on solving specific problems faced by an industry

CSU focuses purely on accumulating companies within the VMS segment

Sources: Company Filings, Equity Research

Appendix: Visualizing CSU's M&A Engine

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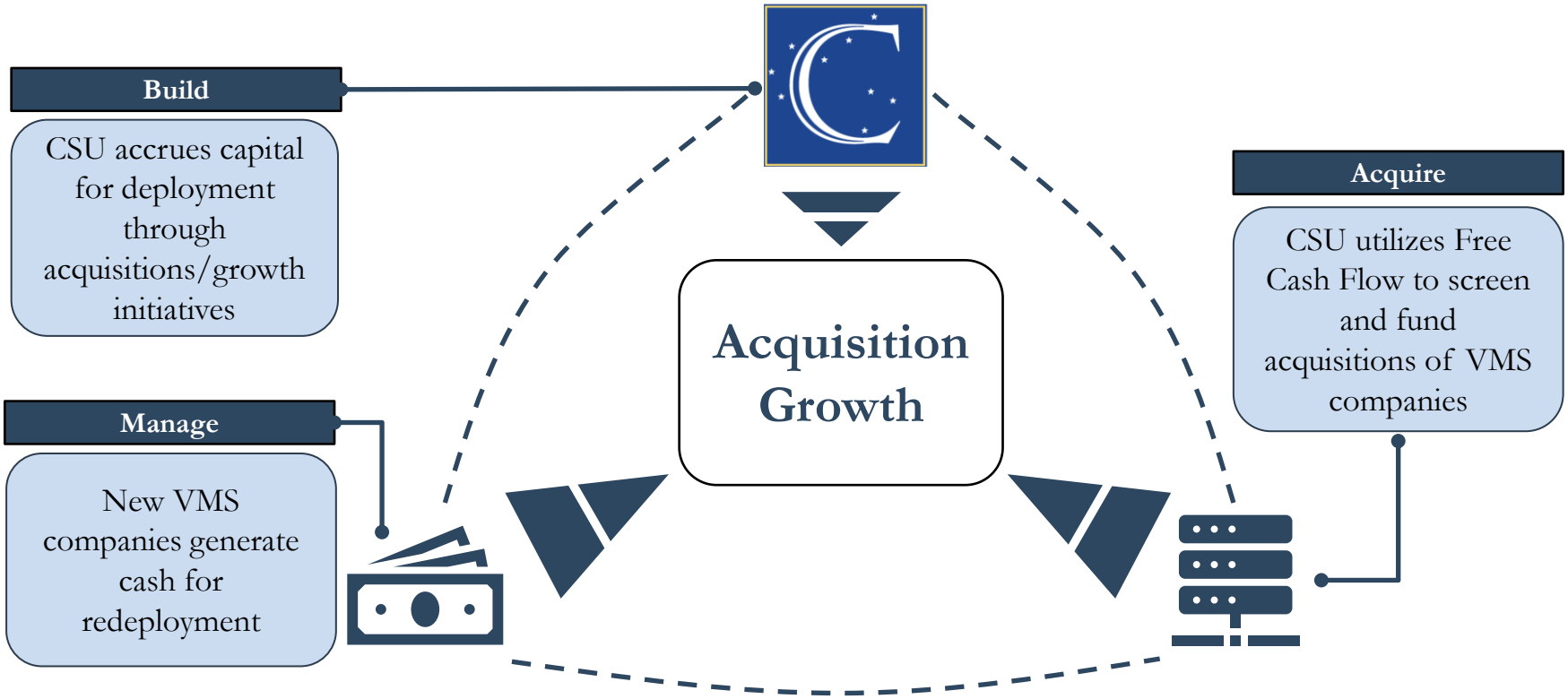
3 Step Acquisition Growth Cycle: Acquire, Manage, Build

High Yield Acquisition Cycle Drives Company Success



Cash Accrual Drives CSU's Sustainable Growth Strategy

Sources: Company Filings, Company Website

Appendix: Different Buckets of Serial Acquirers

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When thinking about serial acquirers, there are 4 main kinds: CSU is known as an "accumulator" here…

Type	Roll-Up	Platform	Accumulator	Hold Co
Degree of Integration	High			Low
Attributes	*Commodity-Like* *Scale-driven synergies*	*Product differentiation* *Clustering subsidiaries*	*Product differentiation* *Little to no integration*	*Unrelated businesses* *Only board influence*
Examples	WASTE MANAGEMENT	danaher		

Platforms & accumulators are the best as individual companies are great businesses with key visibility

Sources: Company Filings, Equity Research

Appendix: How CSU Beats Private Equity Sponsors

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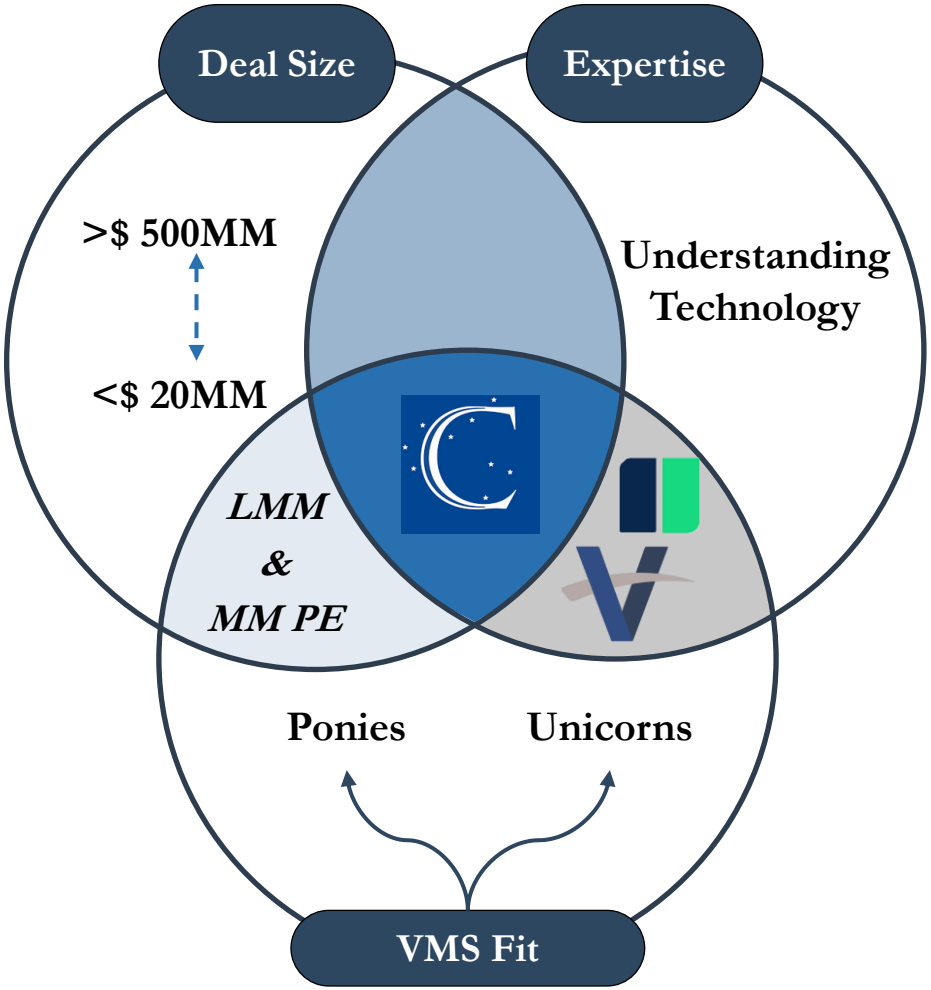
Constellation's trusted strategy continues to outperform – especially during economic downturn



Venture Capital

By design, VCs don't invest in mature companies like VMS and focus more on unicorns (+10-baggers)

Generalist Private Equity

Majority of AUM managed by generalist firms with lack of depth in knowledge, not a good home for VMS

Large Cap Private Equity

ThomaBravo & Vista have ~175B AUM focusing on larger companies outside of CSU's scope

CSU brings expertise and long-term ownership in a niche where only it can continuously win

Sources: Company Filings, Equity Research

Appendix: No Shortage of VMS Opportunities

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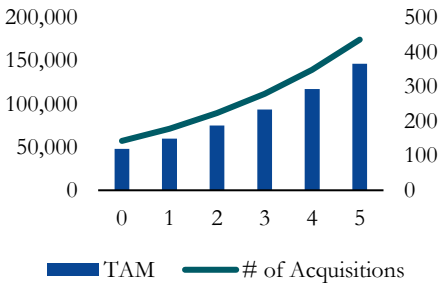
Visual breakdown of the short & medium-term opportunity in VMS acquisitions

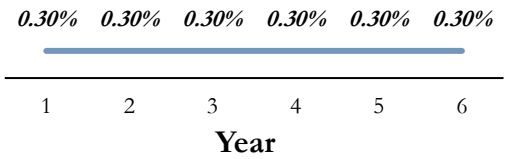
Implied VMS Run-Way Analysis

Scenario #1
Industry Growth

~25% Industry Growth



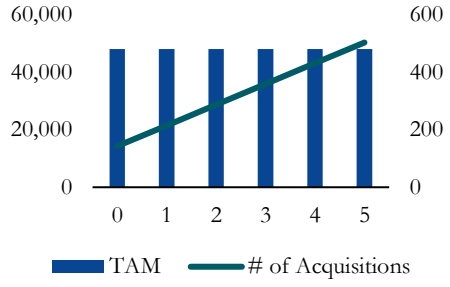
Closing Rate as % of TAM



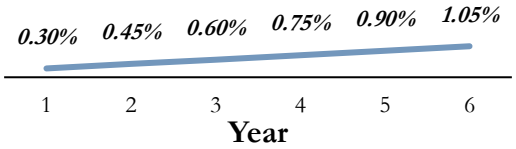
5-Year Acquisition CAGR
25%

Scenario #2
M&A Close-Rate Growth

Assumes Close Rate Improves



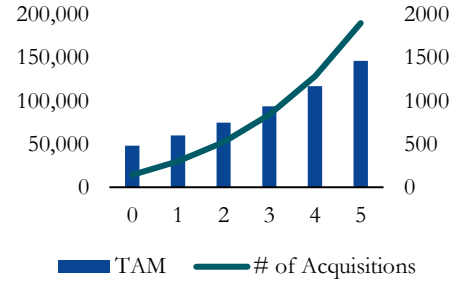
Closing Rate as % of TAM



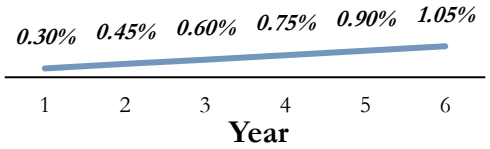
5-Year Acquisition CAGR
29%

Scenario #3
Both Tailwinds

Industry & Close Rate Growth



Closing Rate as % of TAM



5-Year Acquisition CAGR
61%

The current M&A engine will be supported by a strong base of VMS businesses going into the future

Sources: Company Filings

Appendix: All Acquisitions Post 2020 > $75M

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List of deals with price, sales, and debt used

Date	Deal	Size ($M)	Sales ($M)	Debt ($M)	EV / Sales	% of Debt
Q2 2023	**Optimal Blue & Empower**	724	500	500	2.8x	69.1%
Q2 2023	**WinTech**	150	45	50	3.3x	33.3%
Q2 2023	**GOVERNANÇABRASIL**	84	105	0	0.8x	N/A
Q1 2023	**WideOrbit**	490	175	0	2.8x	N/A
Q4 2022	**Intellicene**	82.55	36	0	2.3x	N/A
Q2 2022	**Sygnity**	75	55	0	1.4x	N/A.
Q1 2022	**Altera**	700	896	0	0.8x	N/A
Q3 2021	**CGG**	100	110	0	0.9x	N/A
Q2 2021	**Adapt IT**	90	95	0	0.9x	N/A
Q4 2020	**FICO's Collection and Recovery Business**	180	66.7	0	2.7x	N/A

Total		**$2,676**	**$2,084**		
EV / Sales					**1.3x**

(1) Assumptions

Appendix: Potential Spinouts

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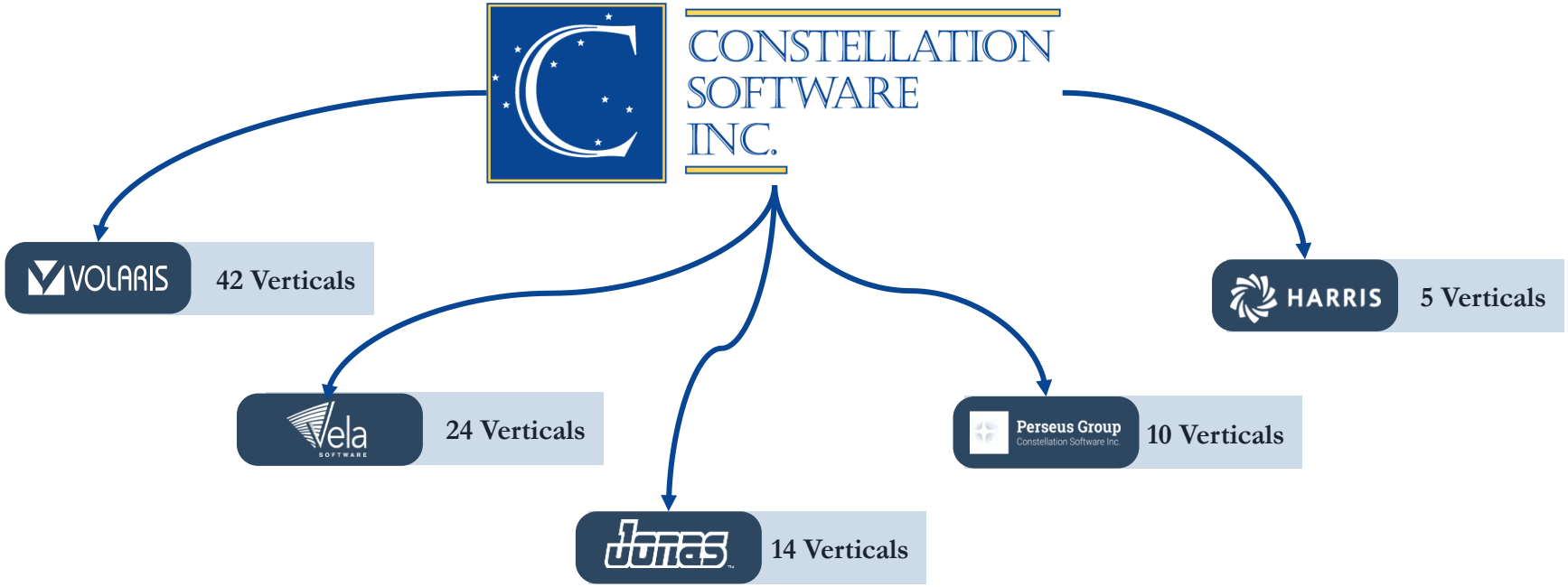
Long runway for potential spin-outs gives CSU significant advantages when pursuing larger acquisitions



LUMINE

Spun-out as 2 verticals, with a total of ~21 companies

topicus

Spun-out geographically, as 3 companies

CSU is unlikely to spin out operating groups, but rather their verticals (95+)

Sources: Company Filings

Appendix: Implied Illustrative WideOrbit IRRs

CONSTELLATION SOFTWARE INC.

IRR back-solve for WideOrbit (Scenario analysis – To make a 15% IRR, is this realistic / feasible?)

Illustrative Implied Model Build Given +8% Historical Organic Growth Rates & Projections

Year	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
FCFE																					
Revenue	178	196	215	237	261	287	315	347	382	420	462	508	559	615	676	744	818	900	990	1,089	1,197
Growth (%)		10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%
EBITDA (%)		30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%
EBITDA		**59**	**65**	**71**	**78**	**86**	**95**	**104**	**114**	**126**	**139**	**152**	**168**	**184**	**203**	**223**	**245**	**270**	**297**	**327**	**359**
Depreciation		(8)	(9)	(10)	(11)	(12)	(13)	(15)	(16)	(18)	(20)	(21)	(24)	(26)	(29)	(31)	(35)	(38)	(42)	(46)	(51)
Amortization		(71)	(71)	(71)	(71)	(71)	(71)	(71)	0	0	0	0	0	0	0	0	0	0	0	0	0
EBIT		**-21**	**-15**	**-10**	**-4**	**3**	**10**	**18**	**98**	**108**	**119**	**131**	**144**	**158**	**174**	**192**	**211**	**232**	**255**	**281**	**309**
Interest		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
EBT		**-21**	**-15**	**-10**	**-4**	**3**	**10**	**18**	**98**	**108**	**119**	**131**	**144**	**158**	**174**	**192**	**211**	**232**	**255**	**281**	**309**
Tax Rate		25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%
Taxes		5	4	2	1	(1)	(3)	(5)	(25)	(27)	(30)	(33)	(36)	(40)	(44)	(48)	(53)	(58)	(64)	(70)	(77)
Net Income		**-15**	**-12**	**-7**	**-3**	**2**	**8**	**14**	**74**	**81**	**89**	**98**	**108**	**119**	**131**	**144**	**158**	**174**	**191**	**210**	**231**
DD&A		79	80	81	82	83	84	86	16	18	20	21	24	26	29	31	35	38	42	46	51
Capex/ROU		(9)	(10)	(11)	(12)	(14)	(15)	(16)	(18)	(20)	(22)	(24)	(26)	(29)	(32)	(35)	(39)	(43)	(47)	(52)	(57)
FCFE	**(497)**	**55**	**58**	**62**	**67**	**72**	**77**	**83**	**72**	**79**	**87**	**96**	**105**	**116**	**127**	**140**	**154**	**169**	**186**	**205**	**225**

IRR **15.3%**

Given accretive nature or organic growth, ~1% increase = ~1% IRR

Assumptions

Revenue	178
Gross Purchase Price	497
EV/Sales	2.79x
Implied EV/EBITDA	9.31x
Debt Funding	0.0%
Equity	497
Debt	0
Organic growth	10%
Intangible Allocation	100%
PP&E Allocation	2.0%
ROU Allocation	3.0%

Appendix: Implied Illustrative Altera IRRs

CONSTELLATION SOFTWARE INC.

IRR back-solve for Altera (Scenario analysis – To make a 15% IRR, is this realistic / feasible?)

Illustrative Implied Model Build Given Business Declining @ Time of Acquisition

Year	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
FCFE																					
Revenue	595	583	571	560	549	538	527	517	506	496	486	476	467	458	448	439	431	422	414	405	397
Growth (%)		(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)	(2%)
EBITDA (%)		16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%
EBITDA		**90**	**89**	**87**	**85**	**83**	**82**	**80**	**78**	**77**	**75**	**74**	**72**	**71**	**70**	**68**	**67**	**65**	**64**	**63**	**62**
Depreciation		(12)	(11)	(11)	(11)	(11)	(11)	(10)	(10)	(10)	(10)	(10)	(9)	(9)	(9)	(9)	(9)	(8)	(8)	(8)	(8)
Amortization		(100)	(100)	(100)	(100)	(100)	(100)	(100)	0	0	0	0	0	0	0	0	0	0	0	0	0
EBIT		**(21)**	**(23)**	**(24)**	**(26)**	**(27)**	**(29)**	**(30)**	**68**	**67**	**66**	**64**	**63**	**62**	**61**	**59**	**58**	**57**	**56**	**55**	**54**
Interest		(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(15)
EBT		**(52)**	**(54)**	**(55)**	**(57)**	**(58)**	**(60)**	**(61)**	**37**	**36**	**35**	**33**	**32**	**31**	**30**	**28**	**27**	**26**	**25**	**24**	**38**
Tax Rate		25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%
Taxes		13	13	14	14	15	15	15	(9)	(9)	(9)	(8)	(8)	(8)	(7)	(7)	(7)	(7)	(6)	(6)	(10)
Net Income		**(39)**	**(40)**	**(41)**	**(43)**	**(44)**	**(45)**	**(46)**	**28**	**27**	**26**	**25**	**24**	**23**	**22**	**21**	**20**	**20**	**19**	**18**	**29**
DD&A		112	111	111	111	111	111	110	10	10	10	10	9	9	9	9	9	8	8	8	8
Capex/ROU		(11)	(11)	(11)	(11)	(11)	(10)	(10)	(10)	(10)	(9)	(9)	(9)	(9)	(9)	(9)	(8)	(8)	(8)	(8)	(8)
Debt		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	-441
FCFE	**(259)**	**61**	**60**	**59**	**58**	**57**	**55**	**54**	**28**	**27**	**26**	**25**	**24**	**23**	**22**	**22**	**21**	**20**	**19**	**18**	**(412)**

IRR **16.1%**

CSU noted that they needed debt to make hurdle rate, debt calculated as YoY change

Assumptions

Revenue	595
Gross Purchase Price	700
EV/Sales	0.85x
Implied EV/EBITDA	5.48x
Debt Funding	63%
Equity	259
Debt	441
Organic growth	(3%)
Intangible Allocation	100%
PP&E Allocation	2.0%
ROU Allocation	3.0%

Appendix: What's Driving Multiples?

CONSTELLATION SOFTWARE INC.

Common question regarding CSU is around the multiple being paid, and concerns of being over-priced…

Why Should Investors Feel Comfortable Paying Premium Prices For CSU?

~22x
'23 EV / EBITDA

EBITDA Growth (%)

Returns On Capital (%)

Historical EBITDA CAGRs	EBITDA CAGR Going Forward	Forecasted Multiple @ ~25% EBITDA CAGR	% of Multiple Today
Inception: 25.2%	Assumed: 25.0% CAGR	1-Year Multiple: 17.6x	80.0%
10-Year: 20.3%		3-Year Multiple: 11.2x	51.2%
5-Year: 24.5%		5-Year Multiple: 7.2x	32.8%

Consolidators like CSU grow EBITDA at such a fast-rate, with in-organic and organic EBITDA being viewed essentially the same, and need to be evaluated over a ~3+ year timeline

Industry-Specific Factors	CSU-Specific Factors
Unfair economics skewed to VMS	Data on ~1,000+ current companies
Extremely accretive incremental sales	Decentralization keeps small co. benefits
Insulated through industry dynamics	Re-investment patterns imply compounding

Why Returns Will Exist

1. Long VMS Runway
2. Systemized Returns
3. Cornered Resources

~25% medium-term EBITDA growth & competitive dynamics + industry structure creates comfort around multiple

Sources: Company Filings, Equity Research

Appendix: Relative Valuation

CONSTELLATION SOFTWARE INC.

CSU trades at a premium relative to other Canadian compounders, but at a discount to VMS providers

Comparable Companies Analysis

($ in millions USD, except share price)	General			Trading Metrics						Growth (YoY%)		
				EV/Revenue		EV/EBITDA		P/E		EPS	EBITDA	Revenue
Company	**Share Price**	**Market Cap**	**Enterprise Value**	**LTM**	**NTM**	**LTM**	**NTM**	**LTM**	**NTM**	**NTM**	**NTM**	**NTM**
Canadian Software Consolidators												
CGI (TSE:GIB)	$98.91	$22,767	$8.57	1.7x	1.6x	8.6x	8.1x	14.4x	12.7x	7.91%	4.51%	3.20%
Open Text Corp (TSE:OTEX)	$35.70	$9,522	$9.79	2.5x	2.2x	9.8x	5.7x	20.2x	5.4x	12.10%	19.68%	12.56%
Descartes Systems Group (TSE:DSG)	$75.46	$6,416	$21.67	8.9x	7.6x	21.7x	17.4x	43.8x	37.3x	-	9.99%	7.06%
Enghouse Systems (TSE:ENGH)	$24.26	$1,341	$10.80	2.7x	2.4x	10.8x	7.5x	16.0x	16.8x	(2.45%)	-	-
Mean	**$58.58**	**$10,012**	**$13**	**4.0x**	**3.4x**	**12.7x**	**9.7x**	**23.6x**	**18.0x**	**5.9%**	**11.4%**	**7.6%**
Median	**$55.58**	**$7,969**	**$10**	**2.6x**	**2.3x**	**10.3x**	**7.8x**	**18.1x**	**14.8x**	**7.9%**	**10.0%**	**7.1%**
VMS Providers												
Tyler Technologies (NYSE:TYL)	$297.56	$12,535	$12,999	6.8x	6.2x	38.1x	24.2x	80.4x	35.1x	10.26%	8.33%	6.29%
Sage Group (LON:SGE)	$1,215.81	$10,164	$10,855	3.7x	3.5x	19.3x	14.6x	35.9x	21.9x	11.23%	8.34%	6.24%
Roper Technologies (NASDAQ:ROP)	$367.01	$39,205	$43,942	7.3x	6.7x	17.6x	16.3x	31.8x	20.6x	3.24%	6.05%	6.14%
Mean	**$626.79**	**$20,634**	**$22,599**	**6.0x**	**5.5x**	**25.0x**	**18.4x**	**49.3x**	**25.9x**	**8.2%**	**7.6%**	**6.2%**
Median	**$367.01**	**$12,535**	**$12,999**	**6.8x**	**6.2x**	**19.3x**	**16.3x**	**35.9x**	**21.9x**	**10.3%**	**8.3%**	**6.2%**
Constellation Entities												
Topicus.com (CVE:TOI)	$67.46	$5,525	$5,923	3.8x	-	22.2x	-	61.2x	-	-	-	-
Lumine Group (CVE:LMN)	$15.41	$1,141	$4,089	7.0x	-	35.0x	-	NM	-	-	-	-
Constellation Software (TSE:CSU)	**$2,198.90**	**$62,876**	**$66,356**	**6.8x**	**5.2x**	**40.1x**	**19.0x**	**99.9x**	**31.5x**	**25.9%**	**22.5%**	**18.2%**

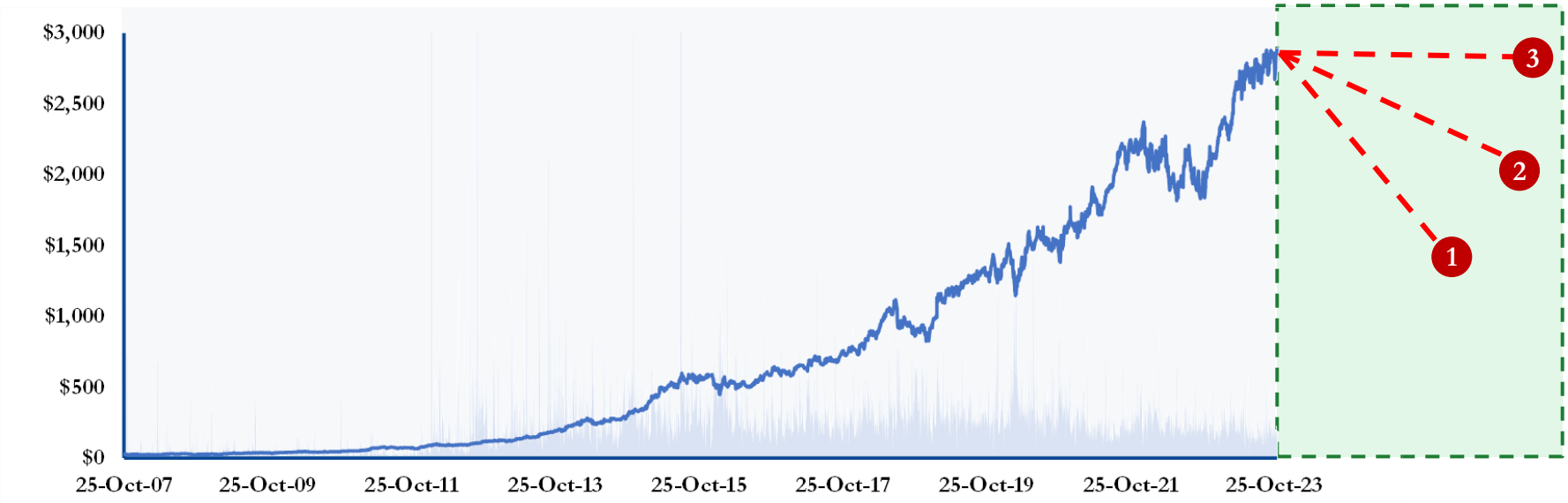
- CSU significantly outperforms other Canadian software consolidators on all growth metrics (EPS, EBITDA, Revenue); it deserves to trade at a premium multiple; further, CSU trades at a discount to VMS providers
- Lumine also trades at a premium to CSU, demonstrating the potential to unlock value to shareholders through spin-outs

Sources: Company Filings, Equity Research

Appendix: Negative Catalysts as Secondary Entry Points

CONSTELLATION SOFTWARE INC.

Short-term negative catalysts may lead to attractive entry points to increase allocation at a lower cost basis



1 Mark Leonard's Departure

In 2021, Mark Leonard decided to forego his base salary, stating that he would reduce his day-to-day involvement with CSU. If Mark were to retire, we believe this would create an attractive entry point given CSU's already fully decentralized operations. Consensus overstates key-man risk.

2 Acquisitions Outside of VMS

CSU has stated that they have considered acquiring outside of VMS and were close to acquiring a thermal oil business for ~$1B. If CSU were to acquire outside of VMS, we would be buyers into a market overreaction to this acquisition.

3 Use of Leverage to Scale Process

CSU has kept a clean balance sheet over its history: if it were to start incorporating leverage into the model, investors would likely react negatively initially. We would be buyers as we are convicted that CSU would be a disciplined user of leverage.

Sources: Company Filings, Capital IQ, Tegus Transcripts